

TENTATIVE RULINGS

DEPT C34

JUDGE H. SHAINA COLOVER

LAW AND MOTION IS HEARD ON THURSDAY AT 1:30 P.M.

Tentative Rulings: The Court endeavors to post tentative rulings on the Court's website by 10:00 a.m. in the morning, prior to the afternoon hearing. However, ongoing proceedings may prevent posting by that time. Do not call the Department for tentative rulings if none are posted. Tentative rulings may not be posted on every case. The Court will not entertain a request to continue the hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on Tentative Rulings: If all parties involved in the subject matter intend to submit on the tentative ruling and do not desire oral argument, then *counsel for each such party shall call* and advise the Courtroom Clerk or Courtroom Attendant by calling **(657) 622-5234** before 12:00 pm on the day of the hearing. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party (or whomever the Court assigns in the ruling) shall give notice of the ruling and prepare an order for the Court's signature, if appropriate, under Cal. R. Ct. 3.1312.

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

Appearances: Remote and In-Person Proceedings. Department C34 (NOT N6- Please no reserving/filing of motions in N6) conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing remotely for the Law and Motion Calendar must check-in online through the Court's website at <https://www.occourts.org/media-relations/civil.html>, prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and instructional video are available at <https://www.occourts.org/media-relations/aci.html>. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are NOT typically provided for law and motion matters in this Department. If a party desires a record of a law and motion proceeding, it must provide a court reporter. The Court's policy on privately retained court reporters is available on the Court's website at: [Privately-Retained Court Reporter Policy](#).

Public Access: The courtroom remains open for all evidentiary and non-evidentiary proceedings. **No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and OCLR 180.**

TENTATIVE RULINGS

Date: July 9, 2026

#	Case Name	Tentative
1.	30-2025-01520541 Huawei Ma, Trustee of The Liu and Ma Family Trust vs. Li	1. Motion to Strike Portions of Complaint 2. Demurrer to Complaint 3. Case Management Conference <u>Demurrer to Complaint</u> Defendant, Wenhui Li a/k/a Wenhui Laura Li a/k/a Laura Li (“Li”) demurs to the Verified Complaint of Plaintiff Huawei Ma (“Plaintiff”), and each of the six causes of action therein. As a threshold matter, Plaintiff’s opposition is supported by a Declaration of Alexander J. Chang, counsel for Plaintiff. Said declaration discusses Plaintiff’s pre-litigation demand letter for inspection of books and records and communications with counsel for Breakthrough Genomics Inc. as well as includes copies of letters regarding the issue. As a result, it consists of evidence that is extrinsic to the Complaint. In turn, Plaintiff’s counsel’s declaration and exhibits are not considered. A demurrer can be used only to challenge defects that appear within the “four corners” of the pleading – which includes the pleading, any exhibits attached, and matters of which the court is permitted to take judicial notice. (<i>Blank v. Kirwan</i> (1985) 39 Cal. 3d 311, 318; <i>Donabedian v. Mercury Ins. Co.</i> (2004) 116 Cal. App. 4th 968, 994.) No other extrinsic evidence can be considered. (<i>Ion Equip. Corp. v. Nelson</i> (1980) 110 Cal.App.3d 868, 881.) In addition, the reply argues for the first time that the causes of action for negligence (second cause of action) and unjust enrichment (sixth cause of action) are duplicative of the breach of fiduciary duty claim, as well as that the claims for breach of fiduciary duty, aiding and abetting, and accounting are derivative and governed by Delaware law under the internal affairs doctrine. The Court declines to consider these arguments that are raised for the first time in reply. (See <i>Balboa Ins. Co. v. Aguirre</i> (1983) 149 Cal.App.3d 1002, 1010; <i>Jay v. Mahaffey</i> (2013) 218 Cal.App.4th 1522, 1537-1538.) <i>Futility</i> Initially, Li contends that the Complaint is defective as a derivative suit as it fails adequately allege demand futility with particularity under Corporations Code section 800(b)(2) and Delaware law. Plaintiff contends that Delaware law applies as Defendant Li and Breakthrough Genomics Inc. (“BTG”) have consistently maintained that BTG is a Delaware corporation and that the Complaint adequately pleads demand futility under Delaware law. California Corporations Code section 1157 states, in part: “The conversion by a domestic other business entity, foreign other business entity, or foreign corporation shall be effective under this chapter upon the filing with the Secretary of State of the articles of incorporation of the converted corporation, containing a statement of conversion that complies with subdivision (e).” (Corp. Code § 1157(e).) “The filing with the Secretary of State of articles of incorporation containing a statement pursuant to subdivision (e) shall have the effect of the filing of a certificate of

cancellation by a converting foreign limited liability company or foreign limited partnership.” (Corp. Code § 1157(f).)

Upon a conversion taking effect, “[a]ny action or proceeding pending by or against the converting entity or converting corporation may be continued against the converted entity or converted corporation as if the conversion had not occurred.” (Corp. Code § 1158(b)(4).)

California Corporations Code section 1159 states: “The shareholders of a converting corporation shall have all of the rights under Chapter 13 (commencing with Section 1300) of the shareholders of a corporation involved in a reorganization requiring the approval of its outstanding shares (Section 152), and the converting corporation shall have all of the obligations under Chapter 13 (commencing with Section 1300) of a corporation involved in the reorganization. Solely for purposes of applying the provisions of Chapter 13 (and not for purposes of Chapter 12), a conversion pursuant to Section 1151 or 1157 shall be deemed to constitute a reorganization.” (Corp. Code § 1159.)

The Complaint alleges that Nominal Defendant BTG was initially formed as a corporation under the laws of the State of Delaware, and that BTG’s principal place of business is located at 2 Hughes, Ste. 100, Irvine, CA 92618. (Verified Complaint, ¶ 3.) It is also alleged that BTG filed conversion paperwork with the California Secretary of State in February 2025, but that BTG maintains that it is still a Delaware corporation and that the conversion paperwork was filed in error. (Verified Complaint, ¶ 4.) The Verified Complaint was filed on October 21, 2025.

On demurrer, a complaint must be liberally construed. (Code Civ. Proc. § 452; *Stevens v. Superior Court* (1999) 75 Cal. App. 4th 594, 601.) All material facts properly pleaded, and reasonable inferences, must be accepted as true. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal. 4th 962, 966-67.) “ ‘ “It is not the ordinary function of a demurrer to test the truth of the plaintiff’s allegations or the accuracy with which he describes the defendant’s conduct. A demurrer tests only the legal sufficiency of the pleading.” [Citation.] In considering the merits of a demurrer, ‘the facts alleged in the pleading are deemed to be true, however improbable they may be.’ ” [Citation.]” (*Bath v. State of California* (2024) 105 Cal.App.5th 1184, 1201.)

Based on the allegations of the Verified Complaint, and assuming their truth and all reasonable inferences, BTG filed conversion paperwork before the filing of this lawsuit, such that the reasonable inference the Complaint alleges that BTG was a California corporation at the time of the filing of this lawsuit. That BTG disputes the conversion does not contradict the allegation that BTG filed conversion paperwork.

As relevant here, California Corporations Code section 800 provides that no action may be instituted or maintained in right of any domestic or foreign corporation by any holder of shares of the corporation unless “[t]he plaintiff alleges in the complaint with particularity plaintiff’s efforts to secure from the board such action as plaintiff desires, or the reasons for not making such effort, and alleges further that plaintiff has either informed the corporation or the board in writing of the ultimate facts of each cause of action against each defendant or delivered to the corporation or the board a true copy of the complaint which plaintiff proposes to file.” (Corp. Code § 800(b)(2).) “The failure to comply with this requirement under section 800(b)(2) leaves a shareholder/plaintiff without standing to bring a derivative claim on behalf of the corporation. [Citation.]” (*Bader v. Anderson* (2009) 179 Cal.App.4th 775, 793 (“*Bader*”) [applying Delaware law to pleading a demand under California Corporations Code section 800(b)(2)].) “[G]eneral averments that the directors were involved in a conspiracy or aided and abetted the wrongful acts complained of will

not suffice to show demand futility. [Citation.]” (*Id.* at p. 790.) “Rather, ‘the court must be apprised of facts specific to each director from which it can conclude that particular director could or could not be expected to fairly evaluate the claims of the shareholder plaintiff.’ [Citation.]” (*Ibid.*) Thus, the court, in reviewing the allegations to support demand futility, must be able to determine on a director-by-director basis whether or not each possesses independence or disinterest such that he or she may fairly evaluate the challenged transaction. [Citation.]” (*Ibid.*)

“The test commonly employed in determining the adequacy of the pleading of demand futility was enunciated by the Delaware Supreme Court” (*Bader, supra*, 179 Cal.App.4th at p. 791.) Where the matter complained of was not a board business decision, “the court inquires ‘whether the board that would be addressing the demand can impartially consider its merits without being influenced by improper considerations. Thus, a court must determine whether or not the particularized factual allegations of a derivative shareholder complaint create a reasonable doubt that, as of the time the complaint is filed, the board of directors could have properly exercised its independent and disinterested business judgment in responding to the demand.’ [Citation.]” (*Id.* at pp. 791-792.)

“A director will be deemed not to be disinterested if the facts alleged ‘demonstrate[] a potential personal benefit or detriment to the director as a result of the decision.’ [Citations.] The personal benefit must arise out of the transaction being challenged. [Citation.]” (*Bader, supra*, 179 Cal.App.4th at p. 792.) “[W]here there is a showing that a director is not disinterested, and the transaction has not been approved by a majority of directors, the business judgment rule does not come into play; demand futility is established.” [Citation.]” (*Ibid.*)

An allegation that the entire board is not disinterested or independent since every member of the board is liable for the violations of the statute is a conclusory allegation that is insufficient to establish demand futility. (*Bader, supra*, 179 Cal.App.4th at p. 797.)

“The Delaware Supreme Court recently adopted a universal test for assessing demand futility. [Citation.] In all shareholder-derivative suits, courts are to determine (on a director-by-director basis): (1) ‘whether the director received a material personal benefit from the alleged misconduct that is the subject of the litigation’; (2) ‘whether the director faces a substantial likelihood of liability on any of the claims’; or (3) ‘whether the director lacks independence from someone who received a material personal benefit from the alleged misconduct . . . or who would face a substantial likelihood of liability on any of the claims.’ [Citation.] ‘If the answer to any of the questions is “yes” for at least half of the members of the demand board, then demand is excused as futile.’ [Citation.]” (*Tola v. Bryant* (2022) 76 Cal.App.5th 746, 752 [applying Delaware law where the parties agreed that Delaware law governs the sufficiency of pleading demand futility in a case involving a Delaware corporation headquartered in California].)

Based on the foregoing, in evaluating the demand futility under California Corporations Code section 800(b)(2), courts look to Delaware law.

The Complaint alleges that Defendant Li is a majority shareholder of BTG, “owning well more than 50% of the issued and outstanding shares of BTG,” and that Plaintiff is informed and believes that Li is the sole director and sole officer of BTG. (Verified Complaint, ¶ 10.) It is alleged that on or about March 31, 2020, Plaintiff invested \$1 million in BTG in exchange for 8,301,000 shares of common stock which represents approximately 11.072% of the issued and outstanding common stock of the company, and that as long as Plaintiff has been a shareholder of the company, BTG has never noticed or held any annual meeting of the shareholders. (Verified Complaint, ¶¶ 15, 17.) Plaintiff also alleges, on information and belief, that during the times where Plaintiff was a shareholder of BTG, Li, with the assistance of other defendants, “caused BTG engage in

transactions in which LI was self-interested. On information and belief, these included without limitation: (i) BTG providing a substantial loan in excess of \$2 Million to BTG GENOMICS PROFESSIONAL, a real estate company in which LI, on information and belief, was the sole member and sole manager; (ii) BTG providing a loan or loans to a shareholder (presumably LI); (iii) BTG receiving a loan or loans from a shareholder (presumably LI); (iv) engaging LI's husband BUDA (an immigration attorney) and his firm BUDA LAW GROUP (a law firm specializing in immigration law) at unreasonably excessive cost to purportedly perform legal work.” (Verified Complaint, ¶ 19.) It is alleged that prior to causing BTG to enter into these transactions, Li “did not: (i) disclose the material facts of her self-interest to disinterested shareholders; nor (ii) seek to obtain the good faith approval of a majority of the disinterested shareholders,” and Plaintiff is informed and believes that “there are no corporate minutes or resolutions evidencing or authorizing any of the self-interested transaction [sic] LI caused BTG to enter.” (Verified Complaint, ¶¶ 20, 23.) Plaintiff also alleges that Plaintiff has been kept in the dark with respect to BTG, its operations, and its financials, and that Plaintiff issued demands for shareholder inspection of books and records, but these demands were met with delay and obfuscation. (Verified Complaint, ¶¶ 16, 24.) Plaintiff additionally alleges that “BTG, under LI's control and direction, refused to provide further information and/or documentation concerning questionable transactions about which Plaintiff inquired.” (Verified Complaint, ¶ 26.) The Complaint further alleges: “Plaintiff is informed and believes, and thereon alleges, that BTG is a closely held entity where any harmful acts by its interest holders, officers, directors, such as LI, directly impact BTG. Plaintiff alleges wrongdoing by LI and the other Defendants who are related to her. As LI could block any corporate action by her votes, it would be inconceivable that any demand by Plaintiff would result in any corporate action against LI or the other Defendants. Accordingly, Plaintiff, acting as an interest owner of BTG, hereby brings this instant derivative cause of action on behalf of BTG against LI and the other Defendants.” (Verified Complaint, ¶ 27.)

Based on these allegations, Defendant Li cannot be impartial due to the alleged self-dealing transactions, it is alleged that Li received a material personal benefit from the alleged misconduct, and it is alleged that LI is the sole director such that she is the entire demand board. The foregoing allegations sufficiently pled demand futility with particularity. Thus, the demurrer on this ground is **OVERRULED**.

Uncertainty

Li contends that the Complaint is ambiguous and uncertain due to the failure to clearly distinguish between direct and derivative claims, the vague references to "DOES 1-10" without any factual basis, and the inconsistent allegations regarding BTG's corporate status (Delaware vs. California conversion).

Plaintiff contends that the Complaint is not uncertain, that any inconsistent allegations regarding BTG's corporate status was created by Li and BTG themselves, and that there is no uncertainty as to direct and derivative claims.

Code of Civil Procedure section 430.10(f) provides that a defendant may demur on the ground that the pleading is uncertain. “As used in this subdivision, ‘uncertain’ includes ambiguous and unintelligible.” “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (*Khoury v. Maly's of California, Inc.* (1993) 14 Cal App.4th 612, 616.) Demurrers for uncertainty “are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (*Lickiss v. Fin. Indus. Regulatory Auth.* (2012) 208 Cal.App.4th 1125, 1135.) “ ‘ . . . “[D]emurrers for uncertainty are disfavored, and are granted only if the pleading is so

incomprehensible that a defendant cannot reasonably respond.” [Citation.]’ [Citation.] (*Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279, 292.)

Here, the Complaint is clearly a derivative action and expressly indicates that Plaintiff Huawei Ma, as Trustee of the Liu and Ma Family Trust, brings this action derivatively on behalf of BTG.

However, it is unclear whether Plaintiff alleges that BTG is a Delaware corporation or California corporation given the conversion, regardless of what BTG or Li believes or has asserted. The demurrer based on uncertainty is **SUSTAINED, with 20 days’ leave to amend**.

First Cause of Action for Breach of Fiduciary Duty

Li contends that the first cause of action for breach of fiduciary duty incorporates 29 prior paragraphs against all defendants but fails to specify which acts by Defendant breached duties of loyalty, care, or good faith under Delaware or California law.

Plaintiff contends that the Complaint sufficiently pleads the elements of her first cause of action for breach of fiduciary at paragraphs 10, 31, 32, and 34.

Initially, despite the purported uncertainty created by whether Plaintiff alleges that BTG is currently a Delaware corporation or California corporation, both parties apply California law to the causes of action asserted in the Verified Complaint. To the extent that the reply attempts to apply Delaware law to any cause of action, it is raised for the first time in reply and is disregarded. “[P]oints raised in a reply brief for the first time will not be considered unless good cause is shown for the failure to present them before. [Citations.]” (*Balboa Ins. Co. v. Aguirre* (1983) 149 Cal.App.3d 1002, 1010.) No good cause is shown for Li’s failure to present the argument that Delaware law applies in her moving papers. Consequently, the Court applies California law.

To establish a claim for breach of fiduciary duty, a plaintiff must establish that: (1) a fiduciary duty exists; (2) that duty is breached; and (3) plaintiff was damaged and that damage was proximately caused by the breach. (*Pellegrini v. Weiss* (2008) 165 Cal.App.4th 515, 524.)

The first cause of action alleges that Li owed fiduciary duties to BTG, including the “highest obligation of good-faith, fair-dealing, loyalty, and due care.” (Verified Complaint, ¶ 31.) It also alleges that Plaintiff is informed and believes that Li “violated and breached their fiduciary duty by, without limitation, the following: (i) failing to have BTG hold annual shareholder meetings; (ii) failing to hold election of directors; (iii) failing to document and maintain corporate books and records; (iv) causing BTG to engage in transactions in which they were self-interested, that were not negotiated at arm’s length nor fair to BTG at the time they were entered into; (v) failing to disclose the material facts of their self-interest to disinterested shareholders; and (vi) failing to seek the good faith approval of a majority of the disinterested shareholders as to self-interested transactions.” (Verified Complaint, ¶ 32.) The first cause of action additionally alleges that Buda and Buda Law Group were attorneys for BTG, and breached their fiduciary duty to BTG by providing Li substantial assistance or encouragement in their breach of fiduciary duty against BTG, and that “[t]hrough these self-interest[ed] transactions,” Li, Buda, Buda Law Group, and DOES 1-10 “misappropriated funds rightfully belonging to BTG.” (Verified Complaint, ¶¶ 33-34.)

Based on the foregoing allegations, the Complaint alleges facts sufficient to constitute a cause of action for breach of fiduciary duty. Incorporating general allegations do not create uncertainty such that Li cannot reasonably respond. The Complaint alleges that through the alleged self-interested transactions, Li misappropriated funds belonging to BTG. With regards to Plaintiff’s allegations

on information and belief, Plaintiff alleges that she has been kept in the dark about BTG's operations, that she issued demands for shareholder inspection of books and records, and that the limited records produced by BTG in response to the demands raised more questions, and that BTG, under Li's control and direction, refused to provide further information and/or documentation concerning questionable transactions about which Plaintiff inquired. (Verified Complaint, ¶¶ 24-26.) The reasonable inference from these allegations is that Plaintiff makes certain allegations on information and belief based on the limited records produced by BTG. "A plaintiff may allege on information and belief any matters that are not within his personal knowledge, *if he has information leading him to believe that the allegations are true* [citation], and thus a pleading made on information and belief is insufficient if it merely asserts the facts so alleged without alleging such information that leads the plaintiff to believe that the allegations are true." (*Gomes v. Countrywide Home Loans, Inc.* (2011) 192 Cal.App.4th 1149, 1158, emphasis in original, internal quotations and citations omitted.)

The demurrer to the first cause of action is **OVERRULED**.

Second Cause of Action for Negligence

Li contends that the second cause of action for negligence incorporates 35 prior paragraphs, and restates the fiduciary breach allegations without identifying specific duties of care owed by Defendant as a majority shareholder/director, breaches, or proximate causation of damages, as well as lacks detail on causation and harm.

Plaintiff contends that the Complaint sufficiently pleads the elements of her second cause of action for negligence at paragraphs 37-39, 49.

The elements for a claim of negligence are duty, breach of duty, causation, and damages. (*Burgess v. Superior Court* (1992) 2 Cal.4th 1064, 1072.)

The second cause of action alleges that Li, as an officer and director, and Buda and Buda Law Group, as attorneys, owed duties to BTG to act with ordinary care and diligence, and that "Defendants failed to exercise ordinary care and diligence by, without limitation, the following: following: (i) failing to have BTG hold annual shareholder meetings; (ii) failing to hold election of directors; (iii) failing to document and maintain corporate books and records; (iv) causing BTG to engage in transactions in which they were self-interested, that were not negotiated at arm's length nor fair to BTG at the time they were entered into; (v) failing to disclose the material facts of their self-interest to disinterested shareholders; (vi) failing to seek the good faith approval of a majority of the disinterested shareholders as to self-interested transactions; and (vii) providing substantial assistance or encouragement to other Defendants in their negligent acts or omissions against BTG." (Verified Complaint, ¶¶ 37-38.) The prior allegations which are incorporated into the second cause of action allege that Li, with the assistance of other defendants, caused BTG to engage in which Li was self-interested including BTG providing a substantial loan in excess of \$2 million to a real estate company in which Li was the sole member and sole manager, BTG providing a loan or loans to a shareholder (presumably Li), BTG receiving a loan or loans from a shareholder (presumably Li), and Li engaging her husband, Buda, an immigration attorney and his firm Buda Law Group at unreasonably excessive cost to purportedly perform legal work. (Verified Complaint, ¶¶ 19, 36.) It is also alleged that as a proximate result of Defendants' negligence, BTG has been damaged, and that Defendants' conduct was a substantial factor in causing harm to BTG. (Verified Complaint, ¶¶ 39-40.)

The Verified Complaint alleges ultimate facts sufficient to state a cause of action for negligence. A complaint must contain "[a] statement of the facts constituting the cause of action, in ordinary

and concise language.” (Code Civ. Proc. § 425.10, subd. (a)(1).) This fact-pleading requirement obligates the plaintiff to allege ultimate facts that “as a whole apprise[] the adversary of the factual basis of the claim. [Citations.]” [Citations.]” (*Davaloo v. State Farm Ins. Co.* (2005) 135 Cal.App.4th 409, 415.) The demurrer to the second cause of action is **OVERRULED**.

Third Cause of Action for Aiding and Abetting

Li contends that the third cause of action for aiding and abetting incorporates 40 prior paragraphs, and also alleges knowledge and substantial assistance without specific facts regarding knowledge or substantial assistance by Defendant in any underlying tort. Li also contends that there is no allegation regarding causation, and that the claim of joint liability is conclusory.

Plaintiff contends that the Complaint sufficiently pleads her third cause of action for aiding and abetting at paragraphs 9, 10, and 19, and that the facts support the reasonable inference that Li knew of and assisted her husband, his law firm, and her affiliated real estate entity in the wrongful misappropriation of BTG funds.

“The elements of a claim for aiding and abetting a breach of fiduciary duty are: (1) a third party’s breach of fiduciary duties owed to plaintiff; (2) defendant’s actual knowledge of that breach of fiduciary duties; (3) substantial assistance or encouragement by defendant to the third party’s breach; and (4) defendant’s conduct was a substantial factor in causing harm to plaintiff.” (*Nasrawi v. Buck Consultants LLC* (2014) 231 Cal.App.4th 328, 343.) Under an aiding and abetting theory, liability depends upon the actual commission of a tort. (*Richard B. LeVine, Inc. v. Higashi* (2005) 131 Cal.App.4th 566, 574.)

The third cause of action alleges that each “Defendant knew that a breach of fiduciary duty was being or going to be committed by each other Defendant,” and that “Defendant aided and abetted each breach of fiduciary duty and/or act of conversion of the Defendants by providing substantial assistance or encouragement in accomplishing the result of each breach,” based on allegations that Li and Buda are husband and wife, that Li is a majority shareholder of BTG and is the sole director and sole officer of BTG, and of Li’s self-interested transactions wherein BTG provided a substantial loan in excess of \$2 million to a real estate company in which Li was the sole member and sole manager, that BTG provided a loan or loans to a shareholder (presumably Li), that BTG received a loan or loans from a shareholder (presumably Li), and that Li engaged her husband, Buda, an immigration attorney and his firm Buda Law Group at unreasonably excessive cost to purportedly perform legal work. (Verified Complaint, ¶¶ 9-10, 19, 41, 43.) In incorporating the prior allegations, third cause of action alleges that Buda and Buda Law Group owed duties to BTG to act with ordinary care and diligence. (Verified Complaint, ¶ 37.) These allegations, liberally construed, allege that Li knew of fiduciary duties owed by Buda and Buda Law Group as attorneys providing legal services to BTG, but they do not sufficiently state in what manner Buda and Buda Law Group breached their alleged fiduciary duties of ordinary care and diligence to Plaintiff.

To the extent that Plaintiff attempts to allege that Li aided and abetted the affiliated real estate company, BTG Genomics Professional, there is no allegation that BTG Genomics Professional breached fiduciary duties owed to Plaintiff.

The demurrer to the third cause of action for aiding and abetting is **SUSTAINED, with 20 days leave to amend**.

Fourth Cause of Action for Accounting

Li contends that the fourth cause of action for accounting incorporates 45 prior paragraphs, and asserts an “unknown balance” without alleging a fiduciary relationship requiring accounting or

stating facts as to why one is necessary. Li asserts that no specific transactions or amounts are tied to Li.

Plaintiff contends that the Complaint sufficiently pleads the fourth cause of action for accounting at paragraphs 16, 23-26.

The elements of a cause of action for an accounting are: (i) a relationship exists between the plaintiff and defendant that requires an accounting; and (ii) some balance is due the plaintiff that can only be ascertained by an accounting. (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179.) A fiduciary relationship is not required for a cause of action for accounting. (*Ibid.*) All that is required is some relationship requiring an accounting, such as possession by the defendant of money or property which defendant may be obligated to surrender. (*Id.* at pp. 179-180.)

The fourth cause of action alleges that each defendant owes “an unknown that is due to BTG that cannot be ascertained without an accounting.” (Verified Complaint, ¶ 47.) It also incorporates the prior allegations which indicate that Plaintiff is a minority shareholder of BTG, that Li is a majority shareholder of BTG and is the sole director and sole officer of BTG, that Li and BTG “kept Plaintiff in the dark with respect to the Company, its operations, and its financials,” that as a director and officer, Li owed fiduciary duties to BTG, and that Li has engaged in self-interested transactions and misappropriated money from BTG. (Verified Complaint, ¶¶ 10, 15, 16, 19, 21-23, 31, 34, 46.)

The foregoing allegations sufficiently allege a fiduciary relationship between Plaintiff and Li, requiring an accounting. The demurrer to the fourth cause of action is **OVERRULED**.

Fifth Cause of Action for Constructive Trust

Li contends that the fifth cause of action for imposition of constructive trust incorporates 48 prior paragraphs, and alleges wrongful acquisition of funds without identifying what property Li holds or how it was wrongfully obtained, and that a constructive trust is not a standalone cause of action in a shareholder derivative lawsuit, but is an equitable remedy.

Plaintiff contends that the Complaint sufficiently pleads her fifth cause of action for constructive trust. Plaintiff asserts that some cases recognize this as a valid cause of action, and that the allegations in the Complaint provide that Li is in possession of specific traceable property of BTG.

“A constructive trust is ‘not an independent cause of action but merely a type of remedy’ ..., and an equitable remedy at that...” (*Batt v. City and County of San Francisco* (2007) 155 Cal.App.4th 65, 82 [citations omitted].) “ ‘A constructive trust is an involuntary equitable trust created by operation of law as a remedy to compel the transfer of property from the person wrongfully holding it to the rightful owner. [Citations.] The essence of the theory of constructive trust is to prevent unjust enrichment and to prevent a person from taking advantage of his or her own wrongdoing. [Citations.]’ (*Communist Party v. 522 Valencia, Inc.* (1995) 35 Cal.App.4th 980, 990; *Campbell v. Super. Ct.* (2005) 132 Cal.App.4th 904, 920.) A specific identifiable property is a prerequisite for a constructive trust. (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 76.)

The cases cited by Plaintiff for the proposition that a constructive trust has been recognized as a valid cause of action are not applicable as they did not involve the argument or issue of whether a constructive trust is a valid cause of action. (*Martin v. Kehl* (1983) 145 Cal.App.3d 228, 240-241 [finding that cause of action for involuntary trust was not barred by any statute of limitations or laches]; *Dabney v. Philleo* (1951) 38 Cal.2d 60, 68 [finding no cause of action for resulting trust was stated]; *Michaelian v. State Comp. Ins. Fund* (1996) 50 Cal.App.4th 1093, 1114 [finding

plaintiff was not entitled to relief under a constructive trust theory because plaintiff did not allege facts showing any fraud or breach of fiduciary duty].)

The demurrer to the fifth cause of action is **SUSTAINED, without leave to amend**, as a constructive trust is an equitable remedy and is not substantive claim for relief.

Sixth Cause of Action for Unjust Enrichment

Li contends that the sixth cause of action for unjust enrichment incorporates 51 prior paragraphs and alleges receipt of benefits without specifics on what benefits Li allegedly retained unjustly or why retention is inequitable. Li also contends that California does not recognize unjust enrichment as a standalone cause.

Plaintiff contends that the Complaint sufficiently pleads her sixth cause of action for unjust enrichment as it specifically alleges that Li, while serving as BTG’s fiduciary, engaged in self-interested transactions that funneled millions of dollars to herself, her husband, and their affiliated entities, and thus, it adequately plead entitlement to relief under a theory of unjust enrichment.

Some courts state that “[T]here is *no* cause of action in California for unjust enrichment.’ . . . Unjust enrichment is synonymous with restitution.” (*Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370; *Levine v. Blue Shield of Cal.* (2010) 189 Cal.App.4th 1117, 1138.) “There is no freestanding cause of action for ‘restitution’ in California. Common law principles of restitution require a party to return a benefit when the retention of such benefit would unjustly enrich the recipient; a typical cause of action involving such remedy is ‘quasi-contract.’” (*Munoz v. MacMillan* (2011) 195 Cal.App.4th 648, 661.) Other California courts have suggested the existence of a separate cause of action for unjust enrichment. (*See e.g., Peterson v. Cellco Partnership* (2008) 164 Cal.App.4th 1583, 1593 [“The elements of an unjust enrichment claim are the ‘receipt of a benefit and [the] unjust retention of the benefit at the expense of another.’”])

In light of the existence of authorities which expressly state that there is no cause of action for unjust enrichment or restitution, the demurrer to the sixth cause of action is **SUSTAINED, without leave to amend**.

In sum, the Court **OVERRULES** the demurrer to the first, second, and fourth causes of action. The Court **SUSTAINS, with 20 days’ leave to amend**, the demurrer to the third cause of action for aiding and abetting. The Court **SUSTAINS, without leave to amend**, the demurrer to the fifth and sixth causes of action.

Plaintiff to file an amended complaint within 20 days consistent with the Court’s ruling above.

Motion to Strike Portions of Complaint

Defendant, Wenhui Li a/k/a Wenhui Laura Li a/k/a Laura Li (“Li”) moves to strike portions of Plaintiff’s Verified Complaint as to the allegations seeking exemplary or punitive damages at paragraphs 35 and 45 and the Prayer for Relief at paragraph 5, and as to the allegations seeking attorneys’ fees at paragraph 29 and the Prayer for Relief at paragraph 4.

As a threshold matter, for the first time in reply, Li contends that the internal affairs doctrine applies and that Delaware law governs the substance of these claims, including the availability and pleading standards for punitive damages and fee-shifting in derivative actions such that California Civil Code section 3294 and California’s common fund/substantial benefit doctrines are

inapplicable. The Court declines to consider all new points, arguments, and evidence presented for the first time on reply. (See *Balboa Ins. Co. v. Aguirre* (1983) 149 Cal.App.3d 1002, 1010; *Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-1538.) “[P]oints raised in a reply brief for the first time will not be considered unless good cause is shown for the failure to present them before. [Citations.]” (*Balboa Ins. Co. v. Aguirre* (1983) 149 Cal.App.3d 1002, 1010.) No good cause is shown for why Li applied California law, including Civil Code section 3294 and Corporations Code section 800 in the moving papers, and never argued the applicability of the internal affairs doctrine, only to raise it for the first time in reply.

Exemplary/Punitive Damages

Defendant Li contends that paragraphs 35 and 45 seek exemplary damages based on conclusory allegations of “oppression, fraud, and malice” without specific facts showing despicable conduct or intent to harm, and that the Prayer for Relief at paragraph 5 likewise seeks exemplary or punitive damages without sufficient supporting allegations.

Plaintiff contends that the punitive damages allegations in Paragraphs 35, 45, and the Prayer for Relief are well-supported by specific facts detailing an ongoing fraud by omission and concealment by Defendant Li, who as the sole director, officer, and majority shareholder of BTG, intentionally funneled millions in corporate funds to herself, her husband, and their affiliated entities while actively keeping minority shareholders blind to her operations.

In order to state a prima facie claim for punitive damages, the complaint must allege facts of defendant’s oppression, fraud, or malice, as stated in Civil Code section 3294. (Civil Code § 3294(a); *College Hospital Inc. v. Superior Court* (1994) 8 Cal. 4th 704, 721; *Turman v. Turning Point of Central Calif., Inc.* (2010) 191 Cal.App.4th 53, 63.) “Malice” is defined as conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. (Civil Code § 3294(c)(1).) “Oppression” is defined as despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights. (Civil Code § 3294(c)(2).) “Fraud” is defined as an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury. (Civil Code § 3294(c)(3).)

“ ‘When there is no evidence the defendant intended to harm the plaintiff, there must be evidence of conduct that is both willful *and* despicable. [Citation.] Conscious disregard for the safety of another may be found “ ‘where the defendant is aware of the probable consequences of his or her conduct and he or she willfully fails to avoid such consequences.’ ” [Citation.] “ ‘Despicable conduct’ is conduct that is “ ‘so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.’ ” [Citation.] Such conduct has been described as having the character of outrage frequently associated with crime.” ’ [Citation.]” (*McNeal v. Whittaker, Clark & Daniels, Inc.* (2022) 80 Cal. App. 5th 853, 872.)

“The adjective ‘despicable’ connotes conduct that is ... so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people. The wrongdoer ... must act with the intent to vex, injure, or annoy, or with a conscious disregard of the plaintiff's rights. ... Punitive damages are appropriate if the defendant's acts are reprehensible, fraudulent or in blatant violation of law or policy. The mere carelessness or ignorance of the defendant does not justify the imposition of punitive damages Punitive damages are proper only when the tortious conduct rises to levels of extreme indifference to the plaintiff's rights, a level which decent citizens should not have to tolerate” (*Lackner v. North* (2006) 135 Cal.App.4th 1188, 1210.)

“In order to survive a motion to strike an allegation of punitive damages, the ultimate facts showing an entitlement to such relief must be pled by plaintiff. [Citations.] In passing on the correctness of a ruling on a motion to strike, judges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth. [Citations.] In ruling on a motion to strike, courts do not read allegations in isolation. [Citations.]” (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) “Further, even though certain language pleads ultimate facts or conclusions of law, such language when read in context with the facts alleged as to defendants’ conduct may adequately plead the evil motive requisite to recovery of punitive damages.” (*Monge v. Superior Court* (1986) 176 Cal.App.3d 503, 510.)

“In addition to the requirement that the operative complaint set forth the elements as stated in section 3294, it must include specific factual allegations showing that the defendant’s conduct was oppressive, fraudulent, or malicious to support a claim for punitive damages. [Citation.]” (*Today’s IV, Inc. v. Los Angeles Metropolitan Transportation Authority* (2022) 83 Cal.App.5th 1137, 1193.) “Punitive damages may not be pleaded generally. [Citation.]” (*Ibid.*) Conclusory allegations that conduct was oppressive, fraudulent, or malicious are insufficient to support a claim for punitive damages. (*Smith v. Superior Court* (1992) 10 Cal.App.4th 1033, 1041-1042.) There must be factual assertions supporting a conclusion that a defendant acted with oppression, fraud, or malice. (*Ibid.*)

“Exemplary damages may be imposed in addition to actual damages for the breach of a fiduciary relationship. [Citation.]” (*Sequoia Vacuum Systems v. Stransky* (1963) 229 Cal. App. 2d 281, 283-289.)

Here, exemplary damages are sought under the first cause of action for breach of fiduciary duty at paragraph 35, and the third cause of action for aiding and abetting at paragraph 45. Paragraph 5 of the Prayer for Relief seeks exemplary or punitive damages. The Verified Complaint alleges that Li is a majority shareholder of BTG and is the sole director and sole officer of BTG; that Defendants John Buda and Li are husband and wife; that Plaintiff invested \$1 million in BTG in exchange for shares of common stock of the company such that Plaintiff’s shares in BTG represented approximately 11.072% of the issued and outstanding common stock of the company; that Li kept Plaintiff in the dark with respect to BTG, its operations, and its financials; that BTG never noticed or held any annual meeting of the shareholders as long as Plaintiff has been a shareholder of the company; that Plaintiff’s demands for information and records were largely ignored and meaningfully responded to; and that during the times where Plaintiff was a shareholder of BTG, Li caused BTG to engage in transactions in which Li was self-interested. (Verified Complaint, ¶¶ 9-10, 15-16, 17-19.) It is alleged on information and belief that Li’s self-interested transactions included: “(i) BTG providing a substantial loan in excess of \$2 Million to BTG GENOMICS PROFESSIONAL, a real estate company in which LI, on information and belief, was the sole member and sole manager; (ii) BTG providing a loan or loans to a shareholder (presumably LI); (iii) BTG receiving a loan or loans from a shareholder (presumably LI); (iv) engaging LI’s husband BUDA (an immigration attorney) and his firm BUDA LAW GROUP (a law firm specializing in immigration law) at unreasonably excessive cost to purportedly perform legal work.” (Verified Complaint, ¶ 19.) It is also alleged that prior to causing BTG to enter into these transactions, Li did not disclose the material facts of her self-interest to disinterested shareholders, and did not seek to obtain the good faith approval of the majority of the disinterested shareholders, as well as that these transactions were not negotiated at arm’s length, and were not fair to BTG at the time they were entered. (Verified Complaint, ¶¶ 20-22.) It is additionally alleged that there are no corporate minutes or resolutions evidencing or authorizing any of the self-interested transactions Li caused BTG to enter. (Verified Complaint, ¶ 23.) It is further alleged that BTG, under Li’s direction and

control, refused to provide further information and/or documentation concerning questionable transaction about which Plaintiff inquired. (Verified Complaint, ¶ 26.)

The first cause of action incorporates the above allegations and also alleges that Li violated and breached her fiduciary duty by: “(i) failing to have BTG hold annual shareholder meetings; (ii) failing to hold election of directors; (iii) failing to document and maintain corporate books and records; (iv) causing BTG to engage in transactions in which they were self-interested, that were not negotiated at arm’s length nor fair to BTG at the time they were entered into; (v) failing to disclose the material facts of their self-interest to disinterested shareholders; and (vi) failing to seek the good faith approval of a majority of the disinterested shareholders as to self-interested transactions.” (Verified Complaint, ¶ 32.) The first cause of action also alleges that through these self-interested transactions, Li, among others, misappropriated funds rightfully belonging to BTG. (Verified Complaint, ¶ 34.)

The allegations above concerning alleged self-interested transactions by Li, made without disclosing material facts of her self-interest and without the good faith approval of the majority of the disinterested shareholders, and which were unfair to BTG, as well as Li’s misappropriation of funds belonging to BTG sufficiently allege specific facts of Defendant Li’s malice by way of despicable conduct which was carried on by Li with a willful and conscious disregard of BTG’s rights, and fraud by way of Li’s concealment of material facts with the intention of depriving BTG of property or otherwise causing injury.

To the extent that Defendant Li contends that fraud must be pled with specificity, that is in relation to an affirmative cause of action for fraud. Li cites to *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645, but that case does not stand for the proposition that fraud within the meaning of Civil Code section 3294 and a claim for punitive or exemplary damages must be pled with particularity. Nevertheless, even assuming that such a standard applied for fraud to assert a claim for punitive or exemplary damages, less specificity is “required of fraud claims ‘when “it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy,” [citation]; “[e]ven under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party”’ [Citation.]” (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384.) Given the allegations of self-interested transactions and Li’s control and/or ownership, it appears from the allegations that Li must necessarily possess full information concerning the facts of these transactions such that less particularity is required.

Based on the foregoing, the motion to strike allegations seeking exemplary or punitive damages at paragraphs 35 and 45 and the Prayer for Relief at paragraph 5 is **DENIED**.

Attorneys’ Fees

Defendant Li contends that the request for attorneys’ fees in the Prayer for Relief and paragraph 29 cites inapplicable law as California Corporations Code section 17501 applies to derivative actions involving limited liability companies, not corporations like BTG, and that Corporations Code section 800 governs and does not authorize attorneys’ fees absent a contractual, statutory, or equitable basis applicable here.

Plaintiff acknowledges that Li is correct about the citation to the incorrect statute. The Complaint alleges: “If Plaintiff is successful in this action, a substantial benefit will result to BTG, on whose behalf this cause of action is prosecuted pursuant to California Corporations Code section 17501

		and Plaintiff, therefore, is entitled to her attorneys’ fees and costs incurred herein in a sum to be proven at trial from BTG.” (Complaint, ¶ 29.) To the extent that Plaintiff asserts in the opposition that the request for reasonable attorney’s fees is allowed under the equitable "common fund" and "substantial benefit" doctrines, there are no allegations in the Complaint as to the application of these doctrines to support a claim for attorney’s fees. In reply, Li asserts that the common fund and substantial benefit doctrines are post-judgment equitable remedies that are applied by the court after a plaintiff has actually conferred a benefit on the corporation through a successful derivative action citing primarily to <i>Cziraki v. Thunder Cats, Inc.</i> (2003) 111 Cal.App.4th 552, 563, but cites to no authority providing that a party cannot seek attorney’s fees based on the equitable “common fund” and “substantial benefit” doctrines in a complaint to support a claim for attorney’s fees. The motion to strike allegations seeking attorney’s fees at paragraph 29 and the Prayer for Relief at paragraph 4 is GRANTED, with 20 days’ leave to amend. Defendant Li to give notice.
3.	30-2025-01480879 Schatz vs. New Life Treatment Center, Inc	1. Case Management Conference 2. Demurrer to Cross-Complaint 3. Motion to Strike Answer 4. Motion to Strike Portions of Cross-Complaint Plaintiff/cross-defendant Joshua Schatz (“Schatz”) demurs to the Cross-Complaint of cross-complainants New Life Treatment Center, Inc. (“NLTC”) and Maria V. Malek aka Mary Malek (“Mary” and collectively, “Cross-Complainants”). Schatz also moves to strike portions of the Cross-Complaint and the Answer filed by defendants NLTC, John Malek, and Daniel Zhuraley. The Court notes that Joshua’s Demurrer is 24 pages long, over the page limit in the California Rules of Court. Counsel for Schatz is admonished that future filings must comply with all applicable rules and statutes. <u>Demurrer to Cross-Complaint</u> <u>First Cause of Action for Fraud in the Inducement</u> Schatz argues this cause of action is time-barred because the purported misrepresentations were made in August 2016 and there are no allegations as to when NLTC and Mary discovered the alleged fraud. “In order to rely on the discovery rule for delayed accrual of a cause of action, ‘[a] plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery <i>and</i> (2) the inability to have made earlier discovery despite reasonable diligence.’” (<i>Fox v. Ethicon Endo-Surgery, Inc.</i> (2005) 35 Cal.4th 797, 808.) “In assessing the sufficiency of the allegations of delayed discovery, the court places the burden on the plaintiff to ‘show diligence’; ‘conclusory allegations will not withstand demurrer.’” (<i>Ibid.</i>)

The Cross-Complaint alleges that in 2016 Schatz falsely represented that he possessed business development skills and community relationships to induce NLTC and Mary to enter into their contractual relationship. It further alleges that Schatz concealed the falsity of his representations during his engagement with NLTC and NLTC and Mary did not discover the facts constituting the fraud until 2023 when they were forced to bring someone else in to rescue the business due to Schatz' failures in development. These allegations include facts that go beyond mere conclusions. Because a complaint must be construed liberally by drawing all reasonable inferences from the facts pleaded, and a reasonable inference from the allegations is that NLTC and Mary had no reason to believe that Schatz' representations were false before 2023, the allegations are sufficient to invoke the delayed discovery rule.

Schatz also argues that Exhibit 2 to the Cross-Complaint, which describes what Mary said about Schatz' statements, is inadmissible hearsay that does not fall within the excited utterance exception and the statements prove nothing about Schatz' state of mind and whether he intended to deceive NLTC. Even if Exhibit 2 is inadmissible hearsay, the Cross-Complaint itself sufficiently alleges that Schatz intended to deceive NLTC and Mary and induce them into entering into the employment agreement. Thus, the Cross-Complaint adequately alleges the element of intent.

Schatz argues the element of reliance is not pled because NLTC and Mary do not allege that they took reasonable steps to investigate Schatz. The Cross-Complaint alleges that Mary's reliance upon Schatz' representations was justifiable because she had no prior knowledge that what he represented was fraudulent. Schatz contends that NLTC and Mary should have taken reasonable steps to investigate Schatz, such as performing a background check into his qualifications. This argument goes to whether Cross-Complainants can prove reliance rather than whether it is sufficiently alleged. At the pleading stage, the allegations in the Cross-Complaint are sufficient.

Lastly, Schatz argues the damage element is ambiguous because Cross-Complainants are seeking both money damages and rescission of the employment agreement. However, "modern practice allows [a] party to plead in the alternative and make inconsistent allegations." (*Mendoza v. Continental Sales Co.* (2006) 140 Cal.App.4th 1395, 1402.)

In light of the above, the Demurrer to the first cause of action is **OVERRULED**.

Second Cause of Action for Breach of Employment Agreement

Schatz argues this cause of action fails because Mary's expectations about the job tasks Schatz was to perform are not reasonably supported by the commonly accepted understanding of the Director of Operations job title and there is no covenant not to compete in the employment agreement, Schatz further argues that even if there were a covenant not to compete, it would be void under Business & Professions Code section 16600.

The employment agreement referenced as Exhibit 1 contains no covenant not to compete. Thus, Cross-Complainants' allegations that Schatz breached an express covenant not to compete are not supported. Cross-Complainants also allege that if there was no express covenant not to compete, there was an implied covenant not to compete. "A cause of action for breach of implied contract has the same elements as does a cause of action for breach of contract, except that the promise is not expressed in words but is implied from the promisor's conduct." (*Yari v. Producers Guild of America, Inc.* (2008) 161 Cal.App.4th 172, 182.) Cross-Complainants have not alleged any conduct by Schatz that would support a cause of action for breach of an implied covenant not to compete.

Cross-Complainants allege that Schatz also breached the employment agreement by failing to contribute work, not adhering to agreed-upon duties, and not bringing in business. However, these allegations are not tied to any obligations imposed upon Schatz in the employment agreement reflected in Exhibit 1. Thus, the Cross-Complaint fails to adequately allege any breach of a contract.

In light of the above, the Demurrer to the second cause of action is **SUSTAINED with 20 days leave to amend.**

Third Cause of Action for Intentional Misrepresentation and Fourth Cause of Action for Negligent Misrepresentation

Schatz argues these causes of action are also barred by the statute of limitations and there are insufficient allegations to invoke the delayed discovery rule. As discussed above, the allegations of delayed discovery are sufficient.

Schatz further argues that these causes of action are insufficiently pled.

“The essential elements of a count for intentional misrepresentation are (1) a misrepresentation, (2) knowledge of falsity, (3) intent to induce reliance, (4) actual and justifiable reliance, and (5) resulting damage. [Citations.] The essential elements of a count for negligent misrepresentation are the same except that it does not require knowledge of falsity but instead requires a misrepresentation of fact by a person who has no reasonable grounds for believing it to be true.” (*Chapman v. Skype, Inc.* (2013) 220 Cal.App.4th 217, 230-231.)

The Cross-Complaint alleges that Schatz made false and misleading representations with knowledge that they were false and with the intent to cause Cross-Complainants to rely on those representations when agreeing to enter into an employment contract, Cross-Complainants reasonably relied on the falsehoods, and Cross-Complainants suffered financial harm as a result. It alternatively alleges that Schatz had no reasonable grounds for believing the representations were true when he made them. These allegations adequately allege each element of these causes of action.

Thus, the Demurrer to the third and fourth causes of action is **OVERRULED.**

Fifth Cause of Action for Civil Attempted Extortion and Extortion

Schatz argues this cause of action should be dismissed because his statements were privileged. Schatz cites to several Penal Code statutes but provides no argument as to how any statements made by him were privileged. Thus, his argument fails and the Demurrer to the fifth cause of action is **OVERRULED.**

Sixth Cause of Action for Business Defamation

Schatz argues this cause of action is inadequate because there are no specific defamatory statements identified and the allegations lack any evidentiary support. Further, he contends the allegations are ambiguous as to when Schatz purportedly made the defamatory statements.

The elements of a defamation claim are “(1) a publication that is (2) false, (3) defamatory, (4) unprivileged, and (5) has a natural tendency to injure or causes special damage.” (*Wong v. Tai Jing* (2010) 189 Cal.App.4th 1354, 1369.)

Cross-Complainants allege that Schatz published false information to third parties both before and after his resignation in May 2024, including referral sources, former clients, and partner

organizations. He stated falsely that NLTC provided substandard care, engaged in financial misconduct, and/or was unsafe for patients. They further allege that he made the representations with intent to harm NLTC’s business reputation and divert clients to his competing enterprise. These allegations state each element of the cause of action with sufficient facts. Schatz’ argument that the allegations lack evidentiary support is not a proper argument on a demurrer.

Schatz contends this cause of action is barred by the applicable one-year statute of limitations. The statute of limitations for defamation is one year after the cause of action accrues, i.e., when the defamatory statement is published. (*Shively v. Bozanich* (2003) 31 Cal.4th 1230, 1246-1247.)

The alleged false statements were made between May 2024 and May 2025. Cross-Complainants allege that at least some of the defamatory statements were made within 12 months preceding the filing of the Cross-Complaint. Because Cross-Complainants allege that defamatory statements were made within the year preceding their filing, the Demurrer based on the statute of limitations must be overruled. (*E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1315-1316 [“ ‘In order for the bar of the statute of limitations to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows merely that the action may be barred.’ ”].)

The Demurrer to the sixth cause of action is **OVERRULED**.

Seventh Cause of Action for Embezzlement

Schatz argues this cause of action fails because the documents provided in Exhibit 9 do not evidence embezzlement. However, this argument is not proper on a demurrer, as it does not go to whether the Cross-Complaint adequately alleges the elements of an embezzlement cause of action and instead goes to the sufficiency of the evidence. Thus, the Demurrer to the seventh cause of action is **OVERRULED**.

Eighth Cause of Action for Identity Theft

Schatz argues this cause of action is based on speculative allegations and there is no alleged harm that is causally linked to any of his actions.

“The elements of identity theft include: (1) that the person willfully obtain personal identifying information belonging to someone else; (2) that the person use that information for an unlawful purpose; and (3) that the person who uses the identifying information does so without the consent of the person whose personal identifying information is being used.” (*People v. Sanders* (2018) 22 Cal.App.5th 397, 405.)

Here, Cross-Complainants allege that Schatz used Mary’s name for his financial qualifications without her consent and authorization because her name showed up in Schatz’ background check. However, they also allege that it is unknown at this time what Schatz did with her confidential information. Further, they only vaguely allege that “damages have already been felt by Mary Malek” but allege no facts as to what those damages are. These allegations are insufficient to show that Schatz used Mary’s personal information for any unlawful purpose.

In light of the above, the Demurrer to the eighth cause of action is **SUSTAINED with 20 days leave to amend**.

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Motion to Strike Punitive Damages from Cross-Complaint

Schatz' Motion to Strike the prayer for punitive damages from the Cross-Complaint is **DENIED**, as there are fraud-based causes of action that are adequately pled. (Civil Code, § 3294(a).)

Motion to Strike Portions of Answer of NLTC, John Malek, and Daniel Zhuraley

Schatz argues that certain portions of the Answer filed by NLTC, John Malek, and Daniel Zhuraley should be stricken as not in conformity with Code of Civil Procedure section 431.30, which requires the responding party to clearly admit or deny the allegations or to deny if the responding party lacks information.

Section 431.30(d) provides that a general denial is sufficient if a complaint is not verified. Section 431.30 further provides: "If the defendant has no information or belief upon the subject sufficient to enable him or her to answer an allegation of the complaint, he or she may so state in his or her answer and place his or her denial on that ground." (Code Civ. Proc., § 431.40(e).)

The paragraphs to which Schatz objects state that Defendants neither admit nor deny certain paragraphs of the Complaint and they need more information. These paragraphs provide essentially the same information required by section 431.40(e), i.e., that Defendants have no information and belief sufficient to enable them to answer an allegation of the Complaint. Thus, the Motion to Strike portions of the Answer is **DENIED**. (See Code Civ. Proc., § 452 [allegations of a pleading must be liberally construed for the purpose of determining its effect].)

Moving party to give notice.

4. 30-2025-01535433

BCAL Construction Inc. vs. LA Clinque Moliere Birthplace and Woman's Wellness, Inc.

**1. Case Management Conference
2. Motion to Compel Production**

Plaintiff BCal Construction Inc. moves for an order compelling defendant Wole Ogunlana ("Defendant") to serve responses without objections to Request for Production, Set One and imposing monetary sanctions in the amount of \$2,460.00.

There is no dispute that responses to the written discovery were not timely served. Thus, objections have been waived. (Code Civ. Proc., § 2031.300(a).)

While Defendant contends that responses will be served before the hearing and relief from waiver of objections should be granted, relief may only be granted upon the Court's determination that the party has subsequently served a response that is in substantial compliance with the Code of Civil Procedure. (Code Civ. Proc., § 2031.300(a)(1).) Relief cannot be granted based solely on the promise that substantially compliant responses will be served. Further, a separate motion for relief is required. (See *id.* ["The court, on motion, may relieve that party from this waiver . . ."].)

Thus, the Motion to Compel Responses without objections is **GRANTED. Responses shall be served within 20 days.**

The Court **declines to award sanctions**. Given that Defendant was acting in pro per at the time the written discovery was served, the Court finds that the imposition of sanctions would be unjust. (Code Civ. Proc., § 2031.300(c).)

Moving party to give notice.

6.	30-2023-01357282 Merino vs. Pacific Coast Patrol, Inc	1. Motion-Other 2. Motion to Compel Deposition (Oral or Written) 3. Motion to Enforce Court Order <u>Motion to Compel Deposition of Defendant's Person Most Qualified</u> Plaintiff, Steven Merino ("Plaintiff"), moves for an order compelling the Person(s) Most Qualified ("PMQ") for Defendant, Pacific Coast Patrol, Inc. to appear and testify and to produce documents specified in the Third Amended Notice of Deposition, as well as an order awarding sanctions in the amount of \$3,060 against Defendant and its attorneys, Knapp, Petersen & Clarke, including handling attorneys Stephen C. Pasarow, Esq., Kevin J. Slack, Esq. and Asante T. Nkosi, Esq. A motion to compel under Code of Civil Procedure section 2025.450(a) must "be accompanied by a meet and confer declaration under Section 2016.040, or, when the deponent fails to attend the deposition and produce the documents, electronically stored information, or things described in the deposition notice, by a declaration stating that the petitioner has contacted the deponent to inquire about the nonappearance. (Code Civ. Proc. § 2025.450(b).) The meet and confer declaration "shall state facts showing a reasonable and good faith attempt at an informal resolution of each issue presented by the motion." (Code Civ. Proc. § 2016.040.) There must be a "serious effort at negotiation and informal resolution" and "the law requires that counsel attempt to talk the matter over, compare their views, consult, and deliberate." (<i>Townsend v. Superior Court</i> (1998) 61 Cal.App.4th 1431, 1438.) "Implicit in the requirement that counsel contact the deponent to inquire about the nonappearance is a requirement that counsel listen to the reasons offered and make a good faith attempt to resolve the issue." (<i>Leko v. Cornerstone Building Inspection Service</i> (2001) 86 Cal.App.4th 1109, 1124.) Here, at issue is the Third Amended Notice of Deposition and Request for Production of Documents for the Person(s) Most Qualified for Defendant, Pacific Coast Patrol, Inc. ("Defendant"), which was served by Plaintiff on Defendant on November 17, 2025, with a deposition date of December 12, 2025. (Declaration of Erik Fritz ("Fritz Decl."), ¶ 12, Ex. G.) In response, Defendant served an objection on December 9, 2025, indicating that the date was unilaterally noticed and was not convenient for the Defendant and Defendant's counsel, and that they would coordinate a convenient date with Plaintiff's counsel, as well as asserted objections to the 43 document requests. (Ex. H to Fritz Decl.) Additionally, on December 11, 2025, Defendant's counsel from Knapp, Petersen & Clarke sent an email to Plaintiff's counsel's informing them that Pacific Coast Patrol's PMQ was undergoing medical treatment and is ill, is unavailable on December 12, and that the best estimate is that the deponent will not be available through December. (Declaration of Kevin J. Stack, ¶ 6, Ex. A.) There appears to have been no response to this email, and on December 12, 2025, Plaintiff took a certificate of non-appearance on December 12, 2025. (Fritz Decl., ¶ 14, Ex. I.) Plaintiff then filed the instant motion on December 18, 2025. In addition, the prior deposition notices involved prior counsel for Defendant, namely, Christopher C. Mosier, Esq. at James T. Shott & Associates. (See Exs. B, C, D, and F to Fritz Decl.) The subject Third Amended Notice of Deposition and Request for Production of Documents is the first deposition notice involving Defendant's new counsel from Knapp, Petersen & Clarke. (Ex. H to Fritz Decl.) Based on the foregoing, this is not simply a situation where the deponent failed to attend the deposition and produce the documents described in the deposition notice.
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The foregoing circumstances do not support reasonable and good faith efforts to resolve either the scheduling of the deposition or the document requests. Significantly, it does not appear that counsel for the parties ever discussed the objections concerning the 43 document requests. Consequently, as detailed below, Plaintiff's **motion to compel is CONTINUED to August 30, 2026 at 1:30 p.m. in Department C34.**

The parties are ORDERED to meet and confer with regards to the issues raised in the motion to compel deposition and to file a Joint Statement, as set forth below.

The parties shall make reasonable and good faith attempts at informal resolution of the issues raised in the motion, including each of the 43 document requests. Meet and confer efforts shall be made *by telephone or videoconference*, not by mail or email, except as confirmation of conversations, **within 14 days.**

The parties shall file a Joint Statement only on issues on which they cannot reach resolution through meeting and conferring. *The Joint Statement shall (1) describe the parties' attempts to meet and confer pursuant to this order, (2) identify each issue and/or document request that remains in dispute, and (3) briefly state why the parties were unable to resolve the dispute.*

The Joint Statement must be filed and served no later than nine (9) court days before the continued hearing date. *If a Joint Statement is not filed by that date, the Motion will be placed off-calendar.*

In addition, Plaintiff's Separate Statement does not set forth the objections/response made by Defendant to the subject Third Amended Notice of Deposition and Request for Production of Documents. (See Ex. H to Fritz Decl.) Instead, it appears to address the objections/response made by Defendant to the original deposition notice. (See Ex. B to Fritz Decl.)

If applicable, **Plaintiff is ORDERED to file and serve an amended separate statement that includes the objections/response to the at issue Third Amended Notice of Deposition and Request for Production of Documents for any document requests that remain at issue.**

No additional briefing is authorized or will be considered.

Motion to Enforce Court Order

Plaintiff, Steven Merino, moves for an order enforcing the Court's order against Defendants, Pacific Coast Patrol, Inc. and Ignacio Martinez ("Defendant") dated October 2, 2025.

Code of Civil Procedure section 2023.030 provides that the court may impose the following sanctions against anyone engaging in conduct that is a misuse of the discovery process: money sanction, issue sanction, evidence sanction, terminating sanction, or contempt sanction. (Code Civ. Proc. § 2023.030(a)-(e).) A misuse of the discovery process includes disobeying a court order to provide discovery. (Code Civ. Proc. § 2023.010(g).)

Plaintiff generally asserts that the Court should impose appropriate sanctions against Defendants for the misuse of the discovery process.

The Court's October 2, 2025 Minute Order concerned Defendants, Ignacio Martinez and Pacific Coast Patrol, Inc.'s ("Defendants") motion to quash the deposition subpoena for production of business records served on non-party State Farm Mutual Automobile Insurance Company ("State

Farm”). (ROA 131, Ex. A to Declaration of Erik Fritz (“Fritz Decl.”).) The Court ordered, in relevant part, the following:

However, given the nature of the documents requested, the Court has concerns that private or confidential information and/or documents of Defendants or third parties may be responsive to Request Nos. 2-5. **Accordingly, the Court ORDERS the parties to prepare and submit a Stipulation and Protective Order covering the production and dissemination of private and/or confidential information. Said Stipulation and Protective Order to be submitted to the Court for approval within 14 days.**

[¶¶.]

State Farm to produce responsive, *non-privileged* documents to Request Nos. 2-5, **within 30 days of the Court's approval of the parties' Stipulation and Protective Order** governing the disclosure of private and confidential information, **with a privilege log, as applicable**. In light of Defendants’ assertion of the attorney-client privilege and the (attorney) work product doctrine and to ensure all privilege assertions are included, **the Court orders State Farm to serve its production and any privilege log upon Defendants' counsel first.**

(Ex. A to Fritz Decl., at pp. 5-6.)

It appears that the parties’ Stipulation and Protective Order (“Stipulation”) has yet to be approved as the parties disagreed about the necessity of submitted a signed version of the Stipulation in a Word document, that Plaintiff signed a PDF version of the Stipulation, and that Defendants appeared to have submitted a version of the stipulation to the Court with Defendants’ counsels’ signature only which was rejected. (Fritz Decl., ¶¶ 13-15, Exs. B and C; ROA 208, Declaration of Kevin J. Stack (“Stack Decl.”), ¶ 7, Exs. B-C.)

Defendants contend that Plaintiff’s counsel refused, and continues to refuse, to sign a Word version of the Stipulation as required by the Orange County Superior Court, but fails to cite to the rule upon which Defendants rely, and cites to no authority supporting that a stipulation needs to be signed in Word format.

It appears that the Stipulation that was submitted on October 17, 2025, only contained the signature of Defendants’ counsel despite the fact that Plaintiff’s counsel had signed a PDF version of the Stipulation, and that the Stipulation was rejected, noting “Please resubmit with signatures of Plaintiff(s) and Defendant(s).” (Ex. C to Fritz Decl.) Despite this, it appears that neither Defendants nor Plaintiff attempted to resubmit the Stipulation.

Ultimately, the Court’s October 2, 2025 Minute Order did not order Defendants to submit the proposed order, and they attempted to do so, but counsel for the parties disputed the need to submit a signed version of the Stipulation in Word format. As such, it does not appear that Defendants misused the discovery process by failing to comply with the Court’s order. Based on the foregoing, the Court DENIES the motion to enforce as against Defendants. Nevertheless, the Court again **ORDERS the parties to submit a Stipulation and Protective Order and Proposed Order covering the production and dissemination of private and/or confidential information within 14 days** so that the ordered production may be effectuated.

To the extent that Plaintiff seeks monetary sanctions, sanctions are denied given the Court’s ruling. Additionally, Plaintiff has not specified the sanctions sought as required by Code of Civil Procedure section 2023.040.

Motion to Enforce Subpoena

Plaintiff, Steven Merino (“Plaintiff”), moves for an order enforcing the subpoena issued to Uber Technologies, Inc. (“Uber”) on September 9, 2025, issuing evidence and issue sanctions against Uber for failure to comply with the subpoena, and awarding monetary sanctions in the amount of \$2,060 against Uber.

“A written notice and all moving papers supporting a motion to compel an answer to a deposition question or to compel production of a document or tangible thing from a nonparty deponent must be personally served on the nonparty deponent unless the nonparty deponent agrees to accept service by mail or electronic service at an address or electronic service address specified on the deposition record.” (California Rules of Court, rule 3.1346.)

Here, the proofs of service attached to the moving papers indicates that the moving papers were electronically served on Uber through counsel, Vanessa K. Herzog and Taylor A. Stewart of Wood Smith Henning & Berman LLP. The moving papers were not personally served on Uber and there is no evidence showing that Uber agreed to accept service by electronic service through said counsel.

In light of the above, and the lack of opposition, Plaintiff’s motion to enforce/compel its Deposition Subpoena for Production of Business Records is **CONTINUED to August 30, 2026 at 1:30 p.m. in Department C34.**

Plaintiff is **ORDERED** to *serve the moving papers by personal service on Uber, or otherwise file and serve supplemental evidence showing that Uber agreed to accept service by electronic service through counsel listed in the proofs of service.* Plaintiff to file said proof of service or supplemental evidence, as applicable, no later than nine (9) courts days before the continued hearing date.

The Court orders Plaintiff to give notice of all motions.

7. 30-2023-01366366

**Gregg vs. Swift
Transportation Co. of
AZ LLC**

1. Motion for Summary Judgment and/or Adjudication

Defendants Swift Transportation Co. of Arizona, LLC and Doug Witt (“Defendants”) move for Summary Judgement and/or Adjudication. Plaintiff James Vincent Gregg II (“Plaintiff”) opposes the motion.

First, the moving papers establish that Defendant did not move for summary judgment as to the fourth cause of action for failure to indemnify/reimburse. The fourth cause of action is not addressed in the notice of motion or the separate statement. (Cal. Rule of Court, rule 3.1350, subd. (d).) Therefore, it has not been properly noticed or addressed and the **Court will not make a determination on this cause of action.**

Second, Plaintiff concedes that the second cause of action for failure to provide overtime compensation, third cause of action for failure to provide rest breaks, fifth cause of action for waiting time penalties, and sixth cause of action for failure to provide accurate itemized wage statements are *preempted*. As such, the motion for summary adjudication is **GRANTED as to these causes of action.**

A. First Cause of Action for Failure to Pay Wages Pursuant to Labor Code sections 201, 226.7, 510, 1194 and 2802

Defendant moves for summary adjudication as to Plaintiff's first cause of action for failure to pay wages, which was brought pursuant to Labor Code sections 201, 226.7, 510, 1194, and 2082. (ROA, Complaint, ¶¶ 40-49.)

Plaintiff argues that this cause of action survives the motion for summary judgment or adjudication "[t]o the extent Plaintiff's First Cause of Action (failure to pay wages under Labor Code § 201) encompasses unpaid reimbursable expenses beyond overtime and rest break premiums, it similarly survives preemption." (ROA 116, Opposition, p. 14:12-14.) Plaintiff concedes that the cause of action does not survive as to his claims for unpaid wages related to "California's meal and rest break rules for drivers of property-carrying commercial motor vehicles subject to federal hours of service regulations." (ROA 116, Opposition, p. 13:19-14:14.) Thus, Plaintiff concedes that, to the extent this cause of action is based on Labor Code section 226.7, 510, and 1194, this cause of action is without merit.

In the Complaint, Plaintiff alleges the following:

"Defendants refused and/or failed to promptly compensate Plaintiff all wages owed on the date of termination. Defendants did not provide Plaintiff with unpaid meal and rest period penalties, unpaid wages, unpaid overtime compensation and expenses for which Defendant failed to reimburse Plaintiff, among other things, to which Plaintiff was entitled upon termination, in violation of Labor Code sections 201, 226.7, 510, 1194 and 2802."

Labor Code section 201 requires that "[i]f an employer discharges an employee, the wages earned and unpaid at the time of discharge are due and payable immediately." (Lab. Code, § 201, subd. (a).)

Labor Code section 2082 states:

"(a) An employer shall indemnify his or her employee for all necessary expenditures or losses incurred by the employee in direct consequence of the discharge of his or her duties, or of his or her obedience to the directions of the employer, even though unlawful, unless the employee, at the time of obeying the directions, believed them to be unlawful.

(b) All awards made by a court or by the Division of Labor Standards Enforcement for reimbursement of necessary expenditures under this section shall carry interest at the same rate as judgments in civil actions. Interest shall accrue from the date on which the employee incurred the necessary expenditure or loss.

(c) For purposes of this section, the term "necessary expenditures or losses" shall include all reasonable costs, including, but not limited to, attorney's fees incurred by the employee enforcing the rights granted by this section.

(d) In addition to recovery of penalties under this section in a court action or proceedings pursuant to Section 98, the commissioner may issue a citation against an employer or other person acting on behalf of the employer who violates reimbursement obligations for an amount determined to be due to an employee under this section. The procedures

for issuing, contesting, and enforcing judgments for citations or civil penalties issued by the commissioner shall be the same as those set forth in Section 1197.1. Amounts recovered pursuant to this section shall be paid to the affected employee.” (Labor Code, § 2802.)

The Court agrees with Plaintiff. Labor Code sections 201 and 2802 address wages beyond the meal and rest break rules that are preempted. Given the above, the motion for summary adjudication is **DENIED** as to the first cause of action for failure to pay wages as Plaintiff has claims pursuant to Labor Code sections 201 and 2802 that are not preempted.

B. Discrimination Claims

Plaintiff’s seventh cause of action is for disability/perceived disability discrimination and eighth cause of action is for race discrimination.

“For purposes of evaluating FEHA discrimination claims, California courts have adopted the burden-shifting framework enunciated by the United States Supreme Court in *McDonnell Douglas Corp. v. Green* (1973) 411 U.S. 792, 93 S.Ct. 1817, 36 L.Ed.2d 668.” (*Hodges v. Cedars-Sinai Medical Center* (2023) 91 Cal.App.5th 894, 904.) “The framework was originally developed for use at trial.” (*Ibid.*)

“When applied at summary judgment, it works as follows: The ‘employer, as the moving party, has the initial burden to present admissible evidence showing either [1] that one or more elements of plaintiff’s prima facie case is lacking or [2] that the adverse employment action was based upon legitimate, nondiscriminatory factors.’” (*Hodges v. Cedars-Sinai Medical Center* (2023) 91 Cal.App.5th 894, 904 [internal quotation omitted]; *Wills v. Superior Court* (2011) 195 Cal.App.4th 143, 160, *as modified on denial of reh’g* (May 12, 2011).) “If the employer satisfies its initial burden, it will be entitled to summary [adjudication] unless the plaintiff produces admissible evidence which raises a triable issue of fact material to the defendant’s showing.” (*Ibid.*)

“[T]o avoid summary judgment [once the employer makes the foregoing showing], an employee claiming discrimination must offer substantial evidence that the employer’s stated nondiscriminatory reason for the adverse action was untrue or pretextual, or evidence the employer acted with a discriminatory animus, or a combination of the two, such that a reasonable trier of fact could conclude the employer engaged in intentional discrimination.” (*Wills v. Superior Court* (2011) 195 Cal.App.4th 143, 160, *as modified on denial of reh’g* (May 12, 2011).)

“Whether summary adjudication is appropriate will depend on a number of factors, including the strength of the plaintiff’s prima facie case, the probative value of the proof that the employer’s explanation is false, and any other evidence that supports the employer’s case.” (*Hodges v. Cedars-Sinai Medical Center* (2023) 91 Cal.App.5th 894, 904)

The employee’s “subjective beliefs in an employment discrimination case do not create a genuine issue of fact; nor do uncorroborated and self-serving declarations.” (*King v. United Parcel Service, Inc.* (2007) 152 Cal.App.4th 426, 433.) To the contrary, the employee’s evidence must prove, by non-speculative evidence, the existence of “an actual causal link between prohibited conduct and termination.” (*Id.* at 433-434.)

“The [employee] cannot simply show that the employer’s decision was wrong or mistaken, since the factual dispute at issue is whether discriminatory animus motivated the employer, not

whether the employer is wise, shrewd, prudent, or competent.” (*Wills v. Superior Court* (2011) 195 Cal.App.4th 143, 160, *as modified on denial of reh'g* (May 12, 2011).)

Notably, “[h]owever, many employment cases present issues of intent and motive ... [which] ‘are rarely appropriate for disposition on summary judgment, however liberalized [summary judgment standards may] be.’ ” (*Hodges v. Cedars-Sinai Medical Center* (2023) 91 Cal.App.5th 894, 904; *Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 286 [“[M]any employment cases present issues of intent, and motive, and hostile working environment, issues not determinable on paper;” such cases are “rarely appropriate for disposition on summary judgment.”].)

Seventh Cause of Action for Disability/Perceived Disability Discrimination

Plaintiff’s seventh cause of action is for disability/perceived disability discrimination.

Pursuant to Government Code section 12940(a)(1), it is unlawful “to refuse to hire or employ the person or to refuse to select the person for a training program leading to employment, or to bar or to discharge the person from employment or from a training program leading to employment, or to discriminate against the person in compensation or in terms, conditions, or privileges of employment” because of physical or mental disability of any person. (Gov. Code, § 12940, subd. (a).)

Importantly, the “very definition of a “physical disability” embraces association with a physically disabled person.” (*Castro-Ramirez v. Dependable Highway Express, Inc.* (2016) 2 Cal.App.5th 1028, 1036.) “Adapting this framework to the associational discrimination context, the ‘disability’ from which the plaintiff suffers is his or her association with a disabled person.” (*Id.*, 1037.)

Both physical and mental “forms of disability require that a plaintiff has or is perceived by an employer as having a condition that ‘limits a major life activity.’ ” (*Hodges v. Cedars-Sinai Medical Center* (2023) 91 Cal.App.5th 894, 906 [citing Gov. Code, § 12926, subs. (j), (m)].) “ ‘Limits’ means making achievement of a major life activity difficult.” (*Ibid.*) “Major life activities include ‘physical, mental, and social activities and working.’ ” (*Ibid.*)

“FEHA proscribes two types of disability discrimination: (1) discrimination arising from an employer’s intentionally discriminatory act against an employee because of his or her disability (referred to as disparate treatment discrimination), and (2) discrimination resulting from an employer’s facially neutral practice or policy that has a disproportionate effect on employees suffering from a disability (referred to as disparate impact discrimination)” (*Featherstone v. Southern California Permanente Medical Group* (2017) 10 Cal.App.5th 1150, 1160.)

The only form of disability discrimination at issue in this case is disparate treatment discrimination.

“To establish a prima facie case for disparate treatment discrimination, plaintiff must show (1) she suffers from a disability, (2) she is otherwise qualified to do her job, (3) she suffered an adverse employment action, and (4) the employer harbored discriminatory intent.” (*Featherstone v. Southern California Permanente Medical Group* (2017) 10 Cal.App.5th 1150, 1161; *Price v. Victor Valley Union High School District* (2022) 85 Cal.App.5th 231, 239, *reh'g denied* (Nov. 29, 2022) [“A disability discrimination cause of action requires plaintiff to establish that he “(1) suffered from a disability or was regarded as suffering from a disability, (2) could perform the

essential duties of a job with or without reasonable accommodations, and (3) was subjected to an adverse employment action because of the disability or perceived disability.”].)

“Section 12940 specifically limits the reach of this proscription, however, “excluding from coverage those persons who are not qualified, even with reasonable accommodation, to perform essential job duties: ‘This part does not prohibit an employer from refusing to hire or discharging an employee with a physical or mental disability ... where the employee, because of his or her physical or mental disability, is unable to perform his or her essential duties even with reasonable accommodations, or cannot perform those duties in a manner that would not endanger his or her health or safety or the health or safety of others even with reasonable accommodations.’” (*Cuiellette v. City of Los Angeles* (2011) 194 Cal.App.4th 757, 766.)

“Section 12940 does not classify all distinctions employers make on the basis of physical disability as unlawful discrimination.” (*Cuiellette v. City of Los Angeles* (2011) 194 Cal.App.4th 757, 766.) “Instead, such distinctions are prohibited ‘*only if* the adverse employment action occurs because of a disability *and* the disability would not prevent the employee from performing the essential duties of the job, at least not with reasonable accommodation. Therefore, in order to establish that a defendant employer has discriminated on the basis of disability in violation of the FEHA, the plaintiff employee bears the burden of proving he or she was able to do the job, with or without reasonable accommodation.’ ” (*Ibid.*)

Here, Defendants argue they are entitled to summary judgment on Plaintiff’s claim for racial discrimination because (1) Plaintiff cannot show he had a disability or perceived disability, (2) Defendants did not have a discriminatory intent, and (3) Defendants employment decisions were for non-discriminatory reasons.

Notably, the facts in support of these three arguments are all presented under the same issue in the separate statement. Pursuant to Code of Civil Procedure sections 437c, the separate statement shall only set forth material facts and there must be no triable issue as to any material fact presented in the separate statement. (Code Civ. Proc., § 437c, subd. (b) and Cal. Rules of Court, rule 3.1320, subd.(d)(1).) Accordingly, if there is a triable issue as to any of the facts, all three arguments fail since they are presented under the same issue.

The Court finds that there is a triable issue of material fact as to whether Plaintiff experienced an adverse employment action. Defendants contend that Plaintiff quit but Plaintiff testified in his deposition that he did not quit. Based on how the separate statement is drafted, this alone is grounds to deny the motion as to the seventh cause of action for disability discrimination.

In addition, Defendants point to Plaintiff’s deposition testimony on page 133-134 in support of their contention that they are entitled to summary judgment on this cause of action. The Court finds the interpretation of Plaintiff’s testimony a triable issue of material fact for the jury, especially when considered with Plaintiff’s other testimony such as that his disability leave to care for his sister was a contributing factor in his termination. Thus, there are triable issues of material fact as to the “undisputed facts” presented in the moving papers.

The Defendants’ motion for summary adjudication of the seventh cause of action for disability discrimination is **DENIED**.

Eighth Cause of Action for Race Discrimination

Plaintiff’s eighth cause of action is for race discrimination.

“A claim of racial discrimination under FEHA is a ‘disparate treatment’ claim.” (*Arnold v. Dignity Health* (2020) 53 Cal.App.5th 412, 424.) “The elements of a disparate treatment claim are ‘(1) the employee’s membership in a classification protected by the statute; (2) discriminatory animus on the part of the employer toward members of that classification; (3) an action by the employer adverse to the employee’s interests; (4) a causal link between the discriminatory animus and the adverse action; (5) damage to the employee; and (6) a causal link between the adverse action and the damage.’” (*Id.*, 424–425.)

“Racist, sexist, or other biased comments in the workplace may give rise to a claim for unlawful harassment under a separate provision of the FEHA.” (*Ibid.* [italics added] [citing § 12940, subd. (j); see *Lyle v. Warner Bros. Television Productions* (2006) 38 Cal.4th 264, 277–278].) “But such comments alone do not support a claim under section 12940(a), nor do bigoted thoughts or beliefs by themselves.” (*Ibid.*) “Were it otherwise, the causation requirement in section 12940(a) would be eviscerated.” (*Ibid.*)

Section 12940(a) does not prohibit discrimination ‘in the air.’ ” (*Harris v. City of Santa Monica* (2013) 56 Cal.4th 203, 231.) “It prohibits discrimination that causes an employer ‘to refuse to hire or employ the person or to refuse to select the person for a training program leading to employment, or to bar or to discharge the person from employment or from a training program leading to employment, or to discriminate against the person in compensation or in terms, conditions, or privileges of employment.’ ” (*Id.* [citing § 12940(a)].)

Here, Defendants argue they are entitled to summary judgment on Plaintiff’s claim for racial discrimination because (1) there was not adverse employment action, (2) Defendants did not have a discriminatory motive, and (3) Defendants employment decisions were for non-discriminatory reasons.

As discussed above, the facts in support of these three arguments are all presented under the same issue in the separate statement. Pursuant to Code of Civil Procedure sections 437c, the separate statement shall only set forth material facts and there must be no triable issue as to any material fact presented in the separate statement. (Code Civ. Proc., § 437c, subd. (b) and Cal. Rules of Court, rule 3.1320, subd.(d)(1).) Accordingly, if there is a triable issue as to any of the facts, all three arguments fail since they are presented under the same issue.

The Court finds that there is a triable issue of material fact as to whether Plaintiff experienced an adverse employment action for the same reasons discussed above. Defendants contend that Plaintiff quit but Plaintiff testified in his deposition that he did not quit. Again, based on how the separate statement is drafted, this alone is grounds to deny the motion as to the seventh cause of action for disability discrimination.

In addition, Defendants point to Plaintiff’s deposition testimony on page 133-134 in support of their contention that they are entitled to summary judgment on this cause of action. The Court finds the interpretation of Plaintiff’s testimony a triable issue of material fact for the jury, especially when considered with Plaintiff’s other testimony such as that his disability leave to care for his sister was a contributing factor in his termination. Thus, there are triable issues of material fact as to the “undisputed facts” presented in the moving papers.

The Defendants’ motion for summary adjudication of the eighth cause of action for racial discrimination is **DENIED**.

C. **Harassment**

Plaintiff's ninth cause of action is for work environment harassment.

Pursuant to Government Code section 12940(j), it is unlawful for an employer to harass an employee based on his "race, religious creed, color, national origin, ancestry, physical disability, mental disability, medical condition, genetic information, marital status, sex, gender, gender identity, gender expression, age, sexual orientation, reproductive health decisionmaking, or veteran or military status". (Gov. Code, § 12940, subd. (j).)

To establish a prima facie case of a harassment, the plaintiff must establish that (1) he was a member of a protected class; (2) he was subjected to unwelcome harassment; (3) the harassment was based on the protected class; (4) the harassment unreasonably interfered with her work performance by creating an intimidating, hostile, or offensive work environment; and (5) the defendants are liable for the harassment. (*Thompson v. City of Monrovia* (2010) 186 Cal.App.4th 860, 876.)

"[H]arassment consists of conduct outside the scope of necessary job performance, conduct presumably engaged in for personal gratification, because of meanness or bigotry, or for other personal motives." (*Jumaane v. City of Los Angeles* (2015) 241 Cal.App.4th 1390, 1407.)

"Harassment is not conduct of a type necessary for management of the employer's business or performance of the supervisory employee's job." (*Id.*)

"Actionable harassment consists of more than 'annoying or 'merely offensive' comments in the workplace,' and it cannot be 'occasional, isolated, sporadic, or trivial; rather, the employee must show a concerted pattern of harassment of a repeated, routine, or a generalized nature.'" (*Cornell v. Berkeley Tennis Club* (2017) 18 Cal.App.5th 908, 940.) "Whether the harassment is sufficiently severe or pervasive to create a hostile work environment 'must be assessed from the 'perspective of a reasonable person belonging to [same protected class as] the plaintiff.'" (*Ibid.*) "In making this assessment, we consider several factors, including 'the frequency of the discriminatory conduct; its severity; whether it is physically threatening or humiliating, or a mere offensive utterance; and whether it unreasonably interferes with an employee's work performance.'" (*Ibid.*)

"[W]hen the harassing conduct is not severe in the extreme, more than a few isolated incidents must have occurred to prove a claim based on working conditions." (*Cornell v. Berkeley Tennis Club* (2017) 18 Cal.App.5th 908, 940.) "Four comments over several months does not establish a pattern of routine harassment creating a hostile work environment, particularly given that the comments were not extreme." (*Ibid.*)

Ultimately, "The FEHA is 'not a 'civility code' and [is] not designed to rid the workplace of vulgarity.'" (*Sheffield v. Los Angeles County Dept. of Social Services* (2003) 109 Cal.App.4th 153, 161.)

Here, Defendants argue they are entitled to summary adjudication as to the ninth cause of action for work environment harassment because (1) Plaintiff does not allege facts to show he was harassed based on a legally protected category and (2) Plaintiff's alleged harassment does not give rise to a harassment claim under FEHA.

For the same reasons discussed above, the Court finds there are triable issues of material facts (such as the triable issues regarding undisputed fact 34). In addition, the Court finds that whether

Defendants conduct and comments related to Plaintiff's Italian and Native American ancestry constitutes sufficient harassment is a triable issue of material fact.

The Motion is **DENIED** as to the ninth cause of action for work environment harassment.

D. Retaliation Claims

1. Tenth Cause of Action for Retaliation Pursuant to Government Code Section 12940(h)

Plaintiff's tenth cause of action for retaliation pursuant to Government Code section 12940(h).

Pursuant to Government Code section 12940(h), it is an unlawful employment practice "[f]or any employer, labor organization, employment agency, or person to discharge, expel, or otherwise discriminate against any person because the person has opposed any practices forbidden under this part or because the person has filed a complaint, testified, or assisted in any proceeding under this part." (Gov. Code, § 12940, subd. (h).)

"[I]n order to establish a prima facie case of retaliation under the FEHA, a plaintiff must show (1) he or she engaged in a protected activity, (2) the employer subjected the employee to an adverse employment action, and (3) a causal link existed between the protected activity and the employer's action." (*Yanowitz v. L'Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1042 [citations and internal quotation marks omitted].)

An employer seeking summary judgment on a retaliation claim "has the initial burden to present admissible evidence showing either that one or more elements of plaintiff's prima facie case is lacking or that the adverse employment action was based upon legitimate, non[retaliatory] factors." (*Serri v. Santa Clara University* (2014) 226 Cal.App.4th 830, 861.) When the employer meets that burden by identifying a legitimate, nonretaliatory reason for its decision, the burden shifts to the employee to raise a triable issue of pretext. (*Id.*)

Here, Defendants argued that Plaintiff cannot establish that (1) Plaintiff engaged in protected activity, (2) cannot show an adverse employment action or causal connection between the alleged retaliatory acts and the alleged protected activity, and (3) cannot establish that the alleged adverse employment action was for anything other than legitimate non-retaliatory reasons or that those reasons were a pretext for retaliation.

For the same reasons discussed above, the Court finds that Defendants' separate statement in support of this cause of action creates triable issues of material fact. The Motion is **DENIED** as to the tenth cause of action for retaliation pursuant to Government Code section 12940(h).

2. Twelfth Cause of Action for Retaliation Pursuant To Labor Code Section 98.6 And 1102.5

a. Labor Code section 1102.5

"Section 1102.5 provides whistleblower protections to employees who disclose wrongdoing to authorities." (*Lawson v. PPG Architectural Finishes, Inc.* (2022) 12 Cal.5th 703, 709.) "As relevant here, section 1102.5 prohibits an employer from retaliating against an employee for sharing information the employee 'has reasonable cause to believe ... discloses a violation of state or federal statute' or of 'a local, state, or federal rule or regulation' with a government agency,

with a person with authority over the employee, or with another employee who has authority to investigate or correct the violation.” (*Id.*, [citing § 1102.5, subd. (b)].) “‘This provision,’ we have explained, ‘reflects the broad public policy interest in encouraging workplace whistleblowers to report unlawful acts without fearing retaliation.’” (*Ibid.*)

“[S]ection 1102.6 . . . supplies the applicable framework for litigating and adjudicating section 1102.5 whistleblower claims.” (*Lawson v. PPG Architectural Finishes, Inc.* (2022) 12 Cal.5th 703, 712.) “First, it must be ‘demonstrated by a preponderance of the evidence’ that the employee’s protected whistleblowing was a ‘contributing factor’ to an adverse employment action.” (*Id.* [citing § 1102.6].) “Then, once the employee has made that necessary threshold showing, the employer bears ‘the burden of proof to demonstrate by clear and convincing evidence’ that the alleged adverse employment action would have occurred ‘for legitimate, independent reasons’ even if the employee had not engaged in protected whistleblowing activities.” (*Ibid.*)

Notably, “a protected disclosure under section 1102.5(b) encompasses reports or complaints of a violation made to an employer or agency even if the recipient already knows of the violation.” (*People ex rel. Garcia-Brower v. Kolla’s, Inc.* (2023) 14 Cal.5th 719, 734.) Also, “[a] report of wrongdoing to the very person who is engaged in the wrongdoing is covered by the statute when the wrongdoer also happens to be the county sheriff, who, under the circumstances, may be the last person who might be willing to do anything about it.” (*Jaramillo v. County of Orange* (2011) 200 Cal.App.4th 811, 827.)

b. Labor Code section 98.6

Labor Code section 98.6(a) states:

“A person shall not discharge an employee or in any manner discriminate, retaliate, or take any adverse action against any employee or applicant for employment because the employee or applicant engaged in any conduct delineated in this chapter, including the conduct described in subdivision (k) of Section 96, and Chapter 5 (commencing with Section 1101) of Part 3 of Division 2, or because the employee or applicant for employment has filed a bona fide complaint or claim or instituted or caused to be instituted any proceeding under or relating to their rights that are under the jurisdiction of the Labor Commissioner, made a written or oral complaint that they are owed unpaid wages, or because the employee has initiated any action or notice pursuant to Section 2699, or has testified or is about to testify in a proceeding pursuant to that section, or because of the exercise by the employee or applicant for employment on behalf of themselves or others of any rights afforded them.” (Lab. Code, § 98.6, subd. (a).)

c. Analysis

Here, Defendants argue this cause of action fails because Plaintiff cannot (1) show he engaged in protected activity, (2) show an adverse employment action or a causal connection between the alleged retaliatory acts and the alleged protected activity, and (3) establish that the alleged adverse employment actions were for anything other than legitimate non-retaliatory reasons and he cannot show that those reasons were pretext for retaliation

For the same reasons discussed above, the Court finds that Defendants’ separate statement in support of this cause of action creates triable issues of material fact. The Motion is **DENIED** as to the twelfth cause of action for retaliation pursuant to Labor Code section 98.6 and 1102.50.

E. Eleventh Cause of Action for Failure to Prevent Harassment, Discrimination, and Retaliation

It is unlawful for an employer to “to fail to take all reasonable steps necessary to prevent discrimination...from occurring.” (Gov. Code § 12940, subd. (k).) However, a finding of actual discrimination, harassment, or retaliation under FEHA is required before a plaintiff may prevail on a claim for failure to prevent discrimination, harassment, or retaliation. (*Dickson v. Burke Williams, Inc.* (2015) 234 Cal.App.4th 1307, 1314.)

Defendants argues that this cause of action fails because “Plaintiff cannot establish the underlying claims of discrimination, harassment, and retaliation.” As discussed above, Plaintiff’s discrimination, harassment, and retaliation causes of action survive the motion.

Accordingly, the Motion is **DENIED** as to the eleventh cause of action for failure to prevent harassment, discrimination, and retaliation.

F. Thirteenth Cause of Action for Failure to Provide Reasonable Accommodation

Plaintiff’s thirteenth cause of action is for failure to provide reasonable accommodation.

Pursuant to Government Code section 12940(m), it is unlawful for an employer “to fail to make reasonable accommodation for the known physical or mental disability of an applicant or employee.” (Gov. Code, § 12940, subd. (m).)

“An employer’s duty to reasonably accommodate an employee's disability is not triggered until the employer knows of the disability.” (*Featherstone v. Southern California Permanente Medical Group* (2017) 10 Cal.App.5th 1150, 1166–1167.)

“Generally, [t]he employee bears the burden of giving the employer notice of the disability.” (*Featherstone v. Southern California Permanente Medical Group* (2017) 10 Cal.App.5th 1150, 1167.) “An employer, in other words, has no affirmative duty to investigate whether an employee’s illness might qualify as a disability.” (*Ibid.*) “[T]he employee can't expect the employer to read his mind and know he secretly wanted a particular accommodation and sue the employer for not providing it.” (*Ibid.*) “Nor is an employer ordinarily liable for failing to accommodate a disability of which it had no knowledge.” (*Ibid.*)

“[A]n employer ‘knows an employee has a disability when the employee tells the employer about his condition, or when the employer otherwise becomes aware of the condition, such as through a third party or by observation.’ ” (*Featherstone v. Southern California Permanente Medical Group* (2017) 10 Cal.App.5th 1150, 1167.)

“While knowledge of the disability can be inferred from the circumstances, knowledge will only be imputed to the employer when the fact of disability is the *only* reasonable interpretation of the known facts.” (*Featherstone v. Southern California Permanente Medical Group* (2017) 10 Cal.App.5th 1150, 1167.) “Vague or conclusory statements revealing an unspecified incapacity are not sufficient to put an employer on notice of its obligations under the [FEHA].” (*Ibid.*)

“Moreover, [e]vidence that a decision maker learned of a plaintiff's disability *after* deciding to take adverse employment action is not probative of whether the decision maker was aware of the

plaintiff's disability when he or she made the decision.” (*Featherstone v. Southern California Permanente Medical Group* (2017) 10 Cal.App.5th 1150, 1167.)

“Put simply, unless there is some evidence an employer knows an employee is suffering from a disability, it is impossible for an employee to claim he or she was discharged because of it or that an employer refused to accommodate the disability.” (*Featherstone v. Southern California Permanente Medical Group* (2017) 10 Cal.App.5th 1150, 1167.)

“If an employee with a known disability is having difficulty performing his or her job, an employer may inquire whether the employee is in need of a reasonable accommodation.” (*Spitzer v. The Good Guys, Inc.* (2000) 80 Cal.App.4th 1376, 1384.) “In general, however, it is the responsibility of the individual with a disability to inform the employer that an accommodation is needed.” (*Ibid.*)

“Employers must make reasonable accommodations to the disability of an individual unless the employer can demonstrate that doing so would impose an ‘undue hardship.’” (*Prilliman v. United Air Lines, Inc.* (1997) 53 Cal.App.4th 935, 947.)

Here, Defendant argues that the thirteenth cause of action for failure to provide reasonable accommodation fails because Plaintiff “cannot show that he was denied a reasonable accommodation.” Plaintiff created a triable issue of material fact as to whether he received the accommodations he needed and requested leave. Plaintiff testified during his deposition that he was not given time off for the infection to his arm. Rather, Witt told Plaintiff that he would have to wait for the time off until it was his “home time.” (See Plaintiff’s Deposition, pp. 15:1-21:25.) Plaintiff testified that he did not expressly request the time because he was denied the leave before he had the opportunity to request it. Instead, Plaintiff was required to finish the load and seek medical attention after the delivery – after which, the injury became infected. Whether this is sufficient is a triable issue of material fact.

The Motion is **DENIED** as to the thirteenth cause of action for failure to provide reasonable accommodation.

G. Fourteenth Cause of Action for Failure to Engage in Good Faith Interactive Process

Government Code section 12940(n) states that it is unlawful for an employer to “fail to engage in a timely, good faith, interactive process with the employee or applicant to determine effective reasonable accommodations, if any, in response to a request for reasonable accommodation by an employee or applicant with a known physical or mental disability or known medical condition.” (Gov. Code, § 12940 (n).)

“Although the interactive process is an informal process designed to identify a reasonable accommodation that will enable the employee to perform his or her job effectively [citation], an employer’s failure to properly engage in the process is separate from the failure to reasonably accommodate an employee’s disability and gives rise to an independent cause of action [citation].” (*Swanson v. Morongo Unified School Dist.* (2014) 232 Cal.App.4th 954, 971, as modified on denial of reh’g (Dec. 23, 2014).)

“The employee must initiate the process unless his or her disability and the resulting limitations are obvious. Once initiated, the employer has a continuous obligation to engage in the interactive process in good faith.” (*Swanson v. Morongo Unified School Dist.* (2014) 232 Cal.App.4th 954, 971, as modified on denial of reh’g (Dec. 23, 2014).)

“Both employer and employee have the obligation ‘to keep communications open’ and neither has ‘a right to obstruct the process.’” (*Swanson v. Morongo Unified School Dist.* (2014) 232 Cal.App.4th 954, 971–972, *as modified on denial of reh'g* (Dec. 23, 2014).) “Each party must participate in good faith, undertake reasonable efforts to communicate its concerns, and make available to the other information which is available, or more accessible, to one party.” (*Id.* 972.)

“Liability hinges on the objective circumstances surrounding the parties’ breakdown in communication, and responsibility for the breakdown lies with the party who fails to participate in good faith.” (*Swanson v. Morongo Unified School Dist.* (2014) 232 Cal.App.4th 954, 972, *as modified on denial of reh'g* (Dec. 23, 2014).) Moreover, “[t]o prevail on a claim under section 12940, subdivision (n) for failure to engage in the interactive process, an employee must identify a reasonable accommodation that would have been available at the time the interactive process should have occurred.” (*Scotch v. Art Institute of California* (2009) 173 Cal.App.4th 986, 1018.)

Here, Defendants argue that this cause of action fails because (1) Plaintiff cannot establish that Defendants did not engage with his required accommodations in a timely, good faith, interactive process to determine effective reasonable accommodations and (2) Defendant responded to Plaintiff’s requests with reasonable accommodations per Plaintiff’s medical restrictions. For the same reasons discussed above, **the Court finds there is a triable issue of material fact.** Whether Defendant engaged in a timely, good faith, interactive process with Plaintiff upon learning of his arm injury is a triable issue of material fact, especially given Plaintiff presented evidence that he was required to finish his load before seeking medical attention for his arm injury at the direction of his supervisor, after he notified his supervisor of the injury.

H. Fifteenth Cause of Action for Violation of Business and Professions Code, section 17200

Defendants argue that this cause of action is subject to summary adjudication because it is derivative of Plaintiff’s other causes of action that “fail as a matter of law.” Because the Court finds that there are triable issues of material facts as to Plaintiff’s other causes of action, the Motion is **DENIED** as to the fifteenth cause of action for violation of Business and Professions code section 17200 as well.

I. Sixteenth Cause of Action for Wrongful Termination in Violation of Public Policy

Plaintiff’s sixteenth cause of action is for wrongful termination in violation of public policy.

At-will employees may recover tort damages from their employers if they can show they were discharged in contravention of fundamental public policy. (*Yau v. Santa Margarita Ford, Inc.* (2014) 229 Cal.App.4th 144, 155.) “The elements of a claim for wrongful discharge in violation of public policy are (1) an employer-employee relationship, (2) the employer terminated the plaintiff’s employment, (3) the termination was substantially motivated by a violation of public policy, and (4) the discharge caused the plaintiff harm.” (*Id.* at p. 154.)

“A discharge is actionable as against public policy if it violates a policy that is: (1) delineated in either constitutional or statutory provisions; (2) ‘public’ in the sense that it ‘inures to the benefit of the public’ rather than serving merely the interests of the individual; (3) well established at the time of the discharge; and (4) ‘substantial’ and ‘fundamental.’” (*Nosal-Tabor v. Sharp Chula Vista Medical Center* (2015) 239 Cal.App.4th 1224, 1238–1239.)

A claim for wrongful termination based upon FEHA cannot survive if the underlying FEHA claims upon which it depends cannot survive. (*Featherstone v. S. California Permanente Med. Grp.* (2017) 10 Cal.App.5th 1150, 1169 [“if an employer did not violate FEHA, the employee’s claim for wrongful termination in violation of public policy necessarily fails.”].)

Here, Defendants argue that the “sixteenth cause of action for wrongful termination in violation of public policy as to Defendant Swift Transportation fails as a matter of law, because Plaintiff cannot establish that he was terminated for statutory discrimination or retaliation.” For all the reasons discussed above, the Court finds that **there are triable issues of material fact** regarding the undisputed facts set forth in the separate statement for this cause of action. The Motion is **DENIED** as to the sixteenth cause of action for wrongful termination in violation of public policy.

J. Summary

In sum, the Court rules as follows:

- The Motion is **GRANTED** as to the second cause of action for failure to provide overtime compensation, third cause of action for failure to provide rest breaks, fifth cause of action for waiting time penalties, and sixth cause of action for failure to provide accurate itemized wage statements.
- The Motion is **DENIED** as to the first cause of action for failure to pay wages, seventh cause of action for disability/perceived disability discrimination, eighth cause of action for race discrimination, ninth cause of action for work environment harassment, tenth cause of action for retaliation pursuant to Government Code section 12940(h), eleventh cause of action for failure to prevent harassment, discrimination, and retaliation, twelfth cause of action for retaliation pursuant to Labor Code section 98.6 and 1102.5, thirteenth cause of action for failure to provide reasonable accommodation, fourteenth cause of action for failure to engage in good faith interactive process, fifteenth cause of action for violation of Business and Professions code section 17200, and sixteenth cause of action for wrongful termination in violation of public policy.

The Court did not address the fourth cause of action for failure to indemnify/reimburse.

Plaintiff to give notice.

9.	30-2024-01399839	1. Motion for Summary Judgment and/or Adjudication
	Lakeview Village Corp. vs. Court	Cross Complainants and Cross-Defendants Pete John Coury (DOB 04/08/1936) (“Pete Coury”) and Patricia Ovilia Coury (“Trish Coury”), individually and as Co-Trustees of the Pete J. Coury Revocable Trust dated August 21, 2002 (collectively, “Trustees” or “Moving Parties/MP”) move the Court for an Order Granting Summary Adjudication on: (1) the Twelfth Cause of Action for Declaratory Relief in the Trustees’ First Amended Cross-Complaint (“Trustees’ FACC”); and (2) the Fourteenth Cause of Action for Aiding and Abetting Breach of Fiduciary Duty in the First Amended Cross-Complaint (“PJ Coury Parties’ FACC”) of Cross-Complainant and Cross-Defendant Pete John Coury (DOB 02/14/2003) (“PJ Coury”), and Cross-Complainants Homes West, Inc. (“Homes West”) and La Alcancia, Inc. (“La Alcancia,” and together with Homes West and PJ Coury, the “PJ Coury Parties”).

ISSUE 1: Moving Parties are entitled to Summary Adjudication on the Twelfth Cause of Action for Declaratory Relief in the Trustees' FACC, because as a matter of law on the undisputed facts, the October 11 and 31, 2011 transfers of stock in La Alcancia and Homes West, respectively, by Pete Coury, as Trustee of the Trust, to John Pete Coury, as Custodian for PJ Coury under UTMA, were not valid transfers under the California Uniform Transfer to Minors Act ("UTMA"), Probate Code section 3900 et seq., and therefore were not irrevocable, because all requirements of Probate Code sections 3906(c) and/or 3909(b) were not satisfied in connection with those transfers.

Notably, as to the 12th cause of action for Declaratory Relief in the Trustees' FACC, MP must sustain the initial, substantive burden to establish each element of that cause of action. The elements of Declaratory Relief are: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to [the party's] rights or obligations.

Here, MPs fail to mention the elements of the declaratory relief cause of action, let alone support their arguments with reference to law and evidence.

Furthermore, it appears the cause of action is improper as the alleged repudiation of the obligation has already occurred. That is, the cause of action as framed would not operate prospectively to declare future rights. Rather, MPs are attempting to use it to understand whether there were past wrongs.

As such, Motion for Summary Adjudication is denied as to Issue 1.

ISSUE 2: Moving Parties are entitled to Summary Adjudication on the Fourteenth Cause of Action for Aiding and Abetting Breach of Fiduciary Duty in the PJ Coury Parties' FACC, because as a matter of law on the undisputed facts, the October 11 and 31, 2011 transfers of stock in La Alcancia and Homes West, respectively, by Pete Coury, as Trustee of the Trust, to John Pete Coury, as Custodian for PJ Coury under UTMA, were not valid transfers under the California Uniform Transfer to Minors Act ("UTMA"), Probate Code section 3900 et seq., because all requirements of Probate Code sections 3906(c) and/or 3909(b) were not satisfied in connection with those transfers, and **therefore no fiduciary duty arose** under Probate Code section 3912(b) for which Pete Coury and Trish Coury could be held liable on an aiding and abetting theory.

Because the 14th cause of action is set forth in PJ Coury Parties' FACC, MP has the burden to "show" that *either*:

- one or more elements of the "cause of action ... *cannot be established*"; OR
- there is a *complete defense* to that cause of action. [CCP § 437c(p)(2) (emphasis added)]

Here, while MPs clearly argue that "no fiduciary duty arose", it is unclear if they are suggesting this is because that element "cannot be established", or because there is "a complete defense" to the cause of action.

MPs argue there was effectively no transfer to minor PJ under the Trust instruments and Probate Code.

Here, it is undisputed that Pete created a revocable trust. [UMF No. 1.]

In reading through the Trust, it appears that the purpose of it was to provide Pete Coury with an income while he was alive, and for the trust assets to be distributed upon his death. Section 2.0 of

the Trust allows the Trustor to “revoke or amend...or withdraw a portion or all of the Trust Estate at any time.”

Here, the Trust corpus consisted, in relevant part, of shares of common stock of Homes West Inc. and shares of common stock in La Alcancia Inc.

It appears undisputed that on October 11, 2011, Stock Power instruments were signed by Pete J. Coury, Trustee of the Pete J. Coury Revocable Trust dated August 21, 2002, purporting to “gift, assign, transfer” the subject shares to “John Pete Coury, as Custodian for Pete John Coury under the UTMA”. [See ROA 416, Ex. 7,8]

Notably, the actual Common Share certificate No, 6 as to La Alancia, Inc. was signed by Pete Coury *as President*. [Ex. 7.] This is the same as the Common Share certificate relating to Homes West Inc. [Ex. 8.]

As is clearly indicated from the Trust itself, the Trustor (Pete Coury) had the right to “withdraw a portion or all of the Trust at any time.” The only requirement was that a “notice of withdrawal must be in a written document other than a Will and will be effective when received by the Trustee.”

Here, because Pete J. Coury is still alive, he is both the Trust and Trustee of the Trust. Arguably, the signed “Stock Power” instruments suffice as notices of withdrawal of the subject shares in compliance with 2.0.

Therefore, the disposition of a portion of the trust property (the shares) by the trustee (who is also the trustor) and set forth in the Stock Power instruments appears to comply with the Trust itself.

MPs argue that the trust does not allow a gift to be made, and the Shares went from the Trustee to the Custodian instead of from the trust back to Pete Coury as an individual. However, only a revoked portion would revert to the Trustor as if the Trust had not been created. It is unclear if withdrawn corpus had to first go back to Pete Coury as an individual. And, while the Stock Power instruments were signed by Pete Coury as Trustee, the Common Share certificates were signed by Pete Coury apparently as director/officer of the corporations.

As such, the action taken by Pete Coury appears to comply with the Trust, but if not, whether the shares were revoked or withdrawn (and in what capacity by Pete Coury) should be determined by the trier of fact.

For the same reasons, it appears there are triable issues of material fact as to whether Ca Probate Code was complied with.

Here, the transfer did not comply with Ca Probate Code§3906(c)(3) because it is undisputed that the shares were worth more than \$10,000 and no court authorization was obtained. [UMF 15-19]

However, PJ argues that Probate Code § 3905(a) and Probate Code § 15401(a) apply and not Probate Code § 3906.

Prob. Code, § 3905 provides, “(a) A personal representative or trustee may make an irrevocable transfer pursuant to Section 3909 to a custodian for the benefit of a minor **as authorized in the governing will or trust.**” This section does not appear to require Court approval for assets over \$10,000.

Notably, nothing in the trust establishes that a transfer may be made to a minor under §3909 while Pete is still living. Arguably, however, this section could be construed to mean, the trust allowed Pete to revoke, amend, withdraw the property, which was then transferred to John for the benefit of PJ.

As to 3909, it appears compliance was made. The Declaration of Pete John Coury (d.o.b. 4-8-1936), paragraph 6, page 3:6-13 and Exhibits 7 and 8 show that the 300 shares of each corporation were a “certificated security in registered form,” within the meaning of Probate Code § 3909(a)(1)(A), registered on the books and records of each corporation.

Furthermore, even if there was no strict compliance with the Probate Code, equitable principles seemingly apply to warrant a denial of motion for summary adjudication as to Issue 2.

Indeed, PJ argues equitable estoppel prevents a party from taking inconsistent positions. PJ cites to Evidence Code §623 which provides:

Whenever a party has, by his own statement or conduct, intentionally and deliberately led another to believe a particular thing true and to act upon such belief, he is not, in any litigation arising out of such statement or conduct, permitted to contradict it.

[Evid. Code, § 623]

Here, the Declaration of Attorney Henry B, LaTorraca states:

5. Attached hereto as Exhibit “10” is a true and correct copy of a page from IRS form 709, the United States Gift (and Generation-Skipping Transfer) Tax Return, produced by Pete John Coury (d.o.b. 4-8-36) with the Bates Stamp LVC.COURY1505, **showing the gifts made by him to John Pete Coury as Custodian for Pete John Coury (d.o.b. 2-14-03) under the UTMA.** No other pages of that form were produced.

Case law also reveals the four elements which must be present in order to apply the doctrine of equitable estoppel: the party to be estopped must be apprised of the facts; he must intend that his conduct shall be acted upon, or must so act that the party asserting the estoppel had a right to believe it was so intended; the other party must be ignorant of the true state of facts; and he must rely upon the conduct to his injury. [*City of Long Beach v. Mansell* (1970) 3 Cal.3d 462, 466.]

Here, PJ argues that Pete obviously knew that he was submitting a gift tax return signed by him under penalty of perjury with appraised values for the UTMA transfers; that he must intend that his gift tax return be acted upon by the IRS or that he knew that the IRS had the right to believe that he was honestly representing those facts; that he intended that the IRS believe in the truth of his gift tax return signed by him under penalty of perjury with appraised values for the UTMA transfers; that the IRS had a right to believe that he was truthfully and honestly submitting that gift tax return under penalty of perjury; that the IRS had no reason to believe that he was being untruthful; and that the IRS relied on that gift tax return upon filing.

Additionally, while not argued by PJ, it is clear that an action for breach of fiduciary duty is an action in equity. [*Northbay Wellness Group, Inc. v. Beyries* (9th Cir. 2015) 789 F.3d 956.]

In terms of equity and the arguments made by the MP herein, the maxim of “no man may take advantage of his own wrong” comes to mind.

	“Deeply rooted in our jurisprudence this principle has been applied in many diverse classes of cases by both law and equity courts, (<i>Glus v. Brooklyn Eastern Dist. Terminal</i> (1959) 359 U.S. 231, 232–233) and should act as a bar to MPs position herein.
	<u>Accordingly, motion is DENIED as to Issue 2.</u> <u>RJN of pleadings is GRANTED.</u> PJ to give notice.